

V-Test - A

Leading third-party testing player to benefit from local AI chip ramp-up; initiate at OW

We forecast AI chip testing demand to increase at an 88% CAGR over 2026-28E (vs 23% for the total market). As China's leading third-party testing vendor, V-Test is uniquely positioned to capture the domestic AI chip ramp into 2027. It should also benefit from accelerating adoption of multi-die designs, thanks to the better elasticity of chip probe (CP) demand with dual-die designs and its higher exposure to margin-accretive CP business based on its technology know-how. Combined with localization tailwinds and aggressive capacity installation, we model 59%/73% sales/earnings CAGRs over 2026-28E for V-Test. We initiate coverage with an Overweight rating and a Jun-27 price target of Rmb220.00, implying 75% potential upside.

- **Structural tailwinds from indigenous AI chip ramp.** High-end chip testing orders have been systematically redirected from Taiwanese vendors to domestic suppliers amid tightening regulations. Thanks to AI proliferation, we forecast AI chip testing demand growing at an 88% CAGR during 2026-28E (vs 23% for the total market). More importantly, we expect the increasing adoption of chiplet (or dual-die) designs by local AI chips to uniquely benefit third-party testing players like V-Test, and we forecast ~30% upside to total testing demand on top of a 1.5-2x multiplier effect on CP volume/complexity and 1.2-1.5x on FT testing time.
- **Equipment fleet moat and margin-accretive mix shift.** V-Test's counter-cyclical capacity expansion has established a first-mover advantage against customer qualification barriers and high-end equipment lead-time bottlenecks. We forecast a 59% sales CAGR during 2026-28E, underpinned by a 90%+ CAGR in compute chip revenue plus ~50% CAGR of non-compute revenue (with industry-wide decoupling tailwinds and market share gains). Combined with a higher-margin product mix (CP/AI chips) and elevated utilization, this drives our 73% earnings CAGR estimate for the period.
- **Initiate with an OW rating and Rmb220 PT.** We derive our Jun-27 price target of Rmb220.00 using a P/E-based approach, applying a 30x one-year forward multiple (in line with its three-year historical average and 30% below key A-share OSAT peers). The stock is currently trading at 29x P/E, a 40% discount to the OSAT peer average of 50x one-year forward P/E, and we believe key re-rating catalysts are: 1) multiple expansion as AI exposure deepens; 2) improving ASP trends from a favorable product mix shift; and 3) a structurally more desirable profitability profile than OSAT names.

Initiation
Overweight

688372.SH, 688372.CH

Price (07 Aug 26): Rmb125.48

Price Target (Jun-27): Rmb220.00

China

Technology

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J.P. Morgan Securities (China) Company Limited

Quarterly Forecasts (FYE Dec)

Revenue (Rmb mn)	2025A	2026E	2027E
Q1	285	490A	797
Q2	349	570	986
Q3	448	700	1,173
Q4	492	799	1,261
FY	1,575	2,559	4,217

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 45 for analyst certification and important disclosures, including non-US analyst disclosures.

Price Performance



— 688372.SH Price (Rmb) SHCOMP (rebased)

	YTD	1m	3m	12m
Abs	15.0%	-31.1%	-23.5%	108.6%
Rel	15.7%	-29.8%	-17.7%	100.4%

Company Data

Shares O/S (mn)	168
52-week range (Rmb)	199.73-57.09
Market cap (\$ mn)	3,125
Exchange rate	6.75
Free float (%)	69.8%
3M ADV (mn)	11.11
3M ADV (\$ mn)	255.7
Volatility (90 Day)	83
Index	SSE
BBG ANR (Buy Hold Sell)	6 0 0

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	1,575	2,559	4,217	6,332
Adj. EBIT	290	547	1,092	1,838
Adj. EBITDA	736	1,258	2,132	3,295
Adj. net income	303	455	906	1,580
Adj. EPS	2.03	2.71	5.41	9.43
BBG EPS	1.92	-	-	-
Cashflow from operations	706	1,351	2,131	3,667
FCFF	(2,240)	(1,656)	(963)	467
Margins and Growth				
Revenue Growth Y/Y (%)	46.2%	62.5%	64.8%	50.2%
EBIT margin	18.4%	21.4%	25.9%	29.0%
EBIT Growth Y/Y (%)	101.3%	89.0%	99.7%	68.2%
EBITDA margin	46.7%	49.1%	50.6%	52.0%
EBITDA Growth Y/Y (%)	61.6%	70.9%	69.6%	54.5%
Net margin	19.3%	17.8%	21.5%	24.9%
Adj. EPS growth	80.5%	33.4%	99.4%	74.3%
Ratios				
Adj. tax rate	4.8%	9.5%	10.0%	10.0%
Interest cover	11.9	12.8	15.2	23.8
Net debt/Equity	0.8	0.5	0.6	0.5
Net debt/EBITDA	3.4	1.7	1.5	0.9
ROE	10.9%	12.4%	19.0%	27.2%
Valuation				
FCFF yield	(12.0%)	(7.9%)	(4.6%)	2.2%
Dividend yield	0.5%	0.4%	0.6%	1.3%
EV/Revenue	14.5	8.8	5.6	3.7
EV/EBITDA	31.1	17.9	11.1	7.1
Adj. P/E	61.7	46.3	23.2	13.3

Summary Investment Thesis and Valuation

V-Test is China's leading third-party chip testing vendor. It is uniquely positioned to capture the AI-driven inflection in domestic testing demand, thanks to its counter-cyclical capacity expansion skewed to high-end testers and superior customer portfolio. We currently model 59% sales and 73% earnings CAGRs over 2026-28E. We are Overweight.

Our Jun-27 price target of Rmb220.00 is based on a 30x one-year forward P/E, which is close to its 3-year historical average and at a discount to key A-share OSAT peers, to reflect its relatively limited pricing flexibility in the near term.

Table of Contents

Investment summary	4
Investment risks	9
Third-party testing – an easily overlooked industry offering exceptional opportunities	10
Third-party testing’s position in the value chain	10
Domestic substitution and localization trend triggered by tightening restrictions	12
Structural opportunities from decoupling of both foundry and OSAT.....	14
Domestic AI demand and constraints are nurturing third-party testing industry	17
Booming indigenous AI demand from token surge.....	17
Incremental growth in market for third-party testing of domestic AI chips.....	18
KYEC case study: AI-driven industry beta	21
V-Test’s favored position to capture AI chip testing demand	24
A counter-cyclical strategy of capacity expansion to cement leadership	24
Moat formation supported by leading equipment fleet and long-lasting R&D investment.....	27
Profitability optimization with AI chip-driven value enhancement	29
Share performance and valuation	31
AI-driven cycle to support valuation re-rating	31
Initiate with OW rating and Jun-27 PT of Rmb220	32
Financials	35
Company overview	40
Investment Thesis, Valuation and Risks	43

Investment summary

We initiate coverage of V-Test with an Overweight rating and a Jun-27 price target of Rmb220.00, implying 75% potential upside. As China's leading third-party testing vendor, V-Test is uniquely positioned to capture the inflection point in the proliferating domestic AI supply chain. What we believe will be an advantage for pure-play testing companies (as distinct from foundries or advanced package vendors) is the significant surge in testing requirement (and complexity) of multi-die designs, which are being increasingly adopted. As the output of locally produced AI chips rises, we believe V-Test stands to be the primary beneficiary of this structural shift.

Thanks to substantial capacity built through intensive and counter-cyclical investment, the company is set to unlock revenue potential and materially improve its margin profile. We model 59%/73% sales/earnings CAGRs over 2026-28E, with market share doubling from ~10% to 20%+ by 2028E.

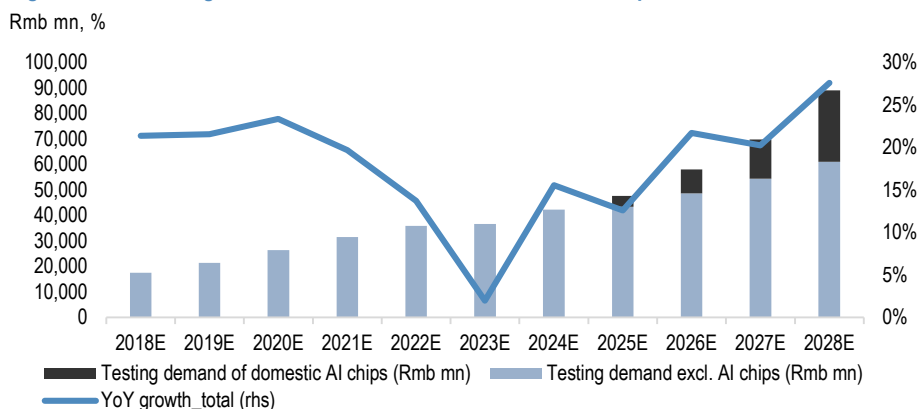
Despite this compelling growth trajectory, V-Test is currently trading at the lower end of its historical valuation range and at a 40% discount to its OSAT peers, offering significant upside potential for re-rating as the market gradually recognizes AI testing as a structural growth theme.

Multi-die designs to further amplify AI chip testing demand

Ramp-up of locally produced AI chips drives testing market to next level

We forecast AI chip testing demand to grow at an 88% CAGR over 2026-28E (vs 23% for the total testing market, ~Rmb89bn in 2028E), reaching around 30% of total testing demand by 2028E. Given volume shipments of locally produced chips are expected to commence late this year, we expect testing demand and the testing market itself to be permanently elevated, along with drivers such as AI chips' significantly increasing complexity and testing time (vs consumer SoC).

Figure 1: Total testing demand in China for conventional and AI chips



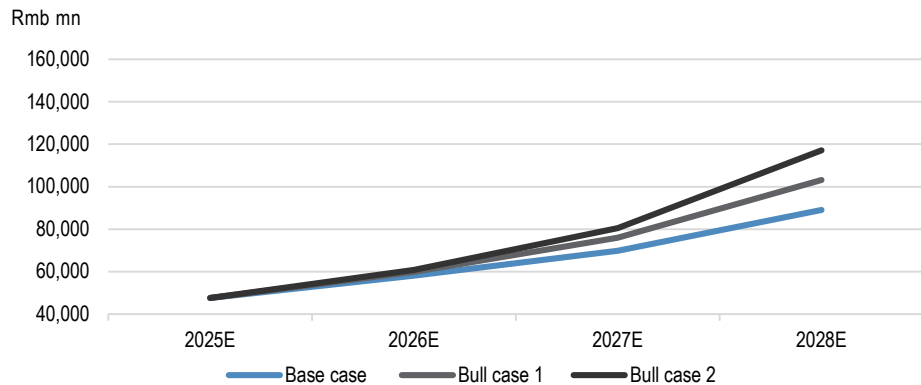
Source: CSIA (23 Jul 2026), V-Test (IPO prospectus), J.P. Morgan estimates.

Multi-die adoption caused by manufacturing constraints benefits testing

Due to technology/equipment restrictions, domestic AI chips are forced to accelerate chiplet (or multi-die) architecture adoption by splitting a large chip into multiple smaller dies, then integrating them via 2.5D packaging (silicon interposer/CoWoS-equivalent) to overcome single-die area and yield limitations.

Even though a smaller die size does improve yield to produce more GPUs (per wafer basis), we believe testing vendors will uniquely benefit from this trend, considering: 1) the 1.5-2x multiplier effect on CP volume/complexity; and 2) the 1.2-1.5x increase in Final Test (FT) time, while assuming dual-die solution as the mainstream. These factors likely provide 15-30% upside to total testing demand in China, based on our scenario analysis – as shown in Figure 2 (also see page 20).

Figure 2: Scenario analysis of total testing demand supported by AI chip upside



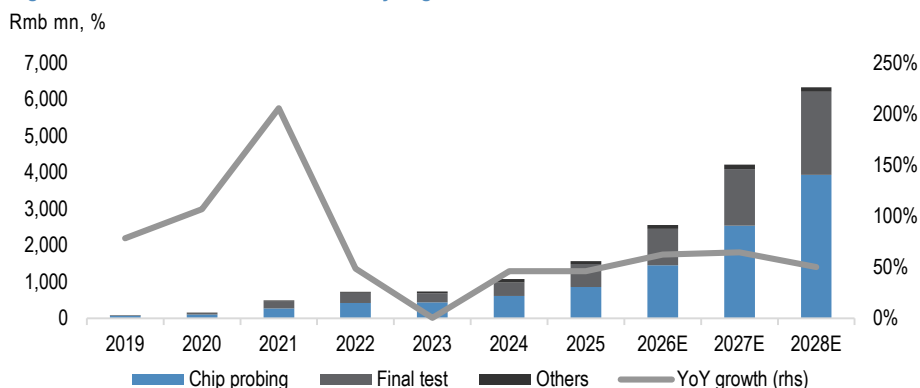
Source: J.P. Morgan estimates.

Best positioned to capture upside in AI chip testing demand

Deep moat created by counter-cyclical capacity expansion

V-Test operates 1,500+ testers (400+ high-end), the largest fleet among A-share pure-play companies. V-Test's 2025 capex reached Rmb2.9bn, representing a capex-to-revenue ratio of 187% that far exceeds both domestic and Taiwanese peers. Its procurement accounted for roughly 10% of Advantest's China sales in 2025. We believe this procurement scale is difficult for smaller peers to replicate amid extending lead times for testing equipment, and its expansion strategy carries a clear first-mover advantage. The company's investment intensity directly determines the revenue trajectory over the subsequent two to three years, in our view. Hence, we model a 59% sales CAGR (2026-28E), with market share doubling from ~10% to 20%+ by 2028E.

Figure 3: V-Test's revenue breakdown by segment



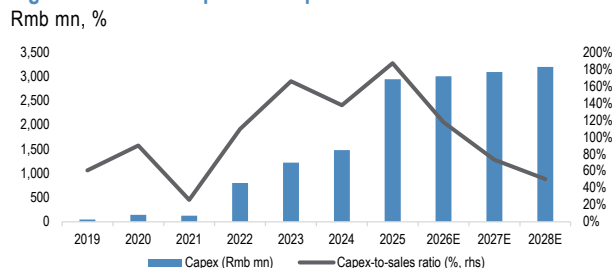
Source: V-Test (Prospectus and historical annual reports, 2019-2025), J.P. Morgan estimates.

Depreciation not likely to inhibit margin accretion of AI-driven uptrend

Given that V-Test doubled its 2025 capex (vs 2024), we believe it has proactively invested to capture upcoming AI chip demand. Meanwhile, the company booked a historically high level of construction-in-progress and accounts payable exiting 1Q26; thus, capacity addition will be released gradually throughout this year, owing to equipment lead-time and factory readiness.

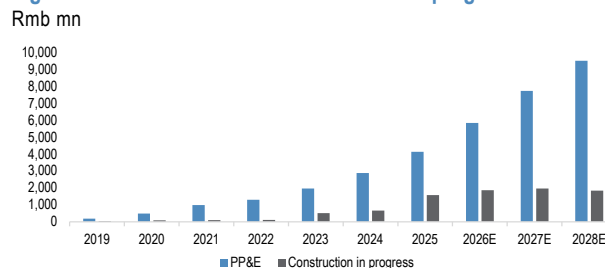
We expect V-Test's capital spending to remain at an elevated level through 2028E, although building-related costs should be incurred this year and next, mainly for the new Shanghai headquarters and Chengdu factory. The market might question profitability erosion from the heavy capex; however, the fine-tuning process for testing equipment is relatively short, which we believe indicates faster revenue conversion and higher operating leverage. On the other hand, the progressive addition of new capacity (depending on the demand outlook) should sustain utilization at a desirable level.

Figure 4: V-Test's capex and capex-to-sales ratio



Source: V-Test (Prospectus and historical annual reports, 2019-2025), J.P. Morgan estimates.

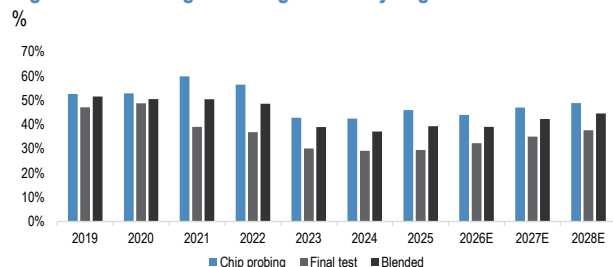
Figure 5: V-Test's PP&E and construction-in-progress trend



Source: V-Test (Prospectus and historical annual reports, 2019-2025), J.P. Morgan estimates.

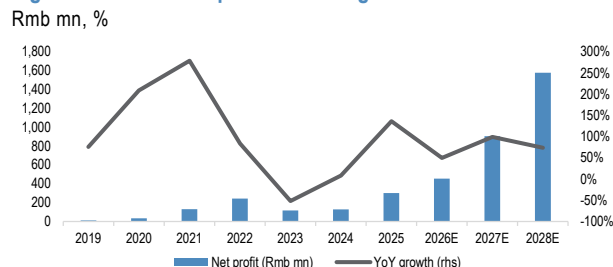
Furthermore, we believe V-Test's structurally higher CP exposure (carrying higher gross margin) and premium ASPs for AI chip testing (both CP and FT) driven by equipment exclusivity and engineering intensity could lift margin further. We now expect blended gross margin to expand to 44.6% by 2028E (from 39.4% in 2025), and model a 73% earnings CAGR over 2026-28E.

Figure 6: V-Test's gross margin trend by segment



Source: V-Test (Prospectus and historical annual reports, 2019-2025), J.P. Morgan estimates.

Figure 7: V-Test's net profit and YoY growth



Source: V-Test (Prospectus and historical annual reports, 2019-2025), J.P. Morgan estimates.

Table 1: Earnings forecasts

(Rmb mn)	2025A	2026E	2027E	2028E
Revenue	1,575	2,559	4,217	6,332
<i>Growth</i>	46%	63%	65%	50%
Gross profit	620	1,000	1,783	2,821
<i>GPM %</i>	39.4%	39.1%	42.3%	44.6%
Operating profit	290	547	1,092	1,838
<i>OPM %</i>	18.4%	21.4%	25.9%	29.0%
Net profit	303	455	906	1,580
<i>NPM %</i>	19.3%	17.8%	21.5%	24.9%

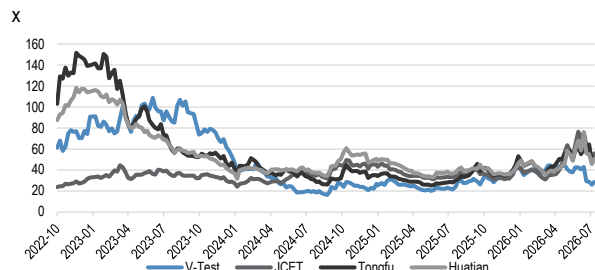
Source: V-Test (2025 annual report), J.P. Morgan estimates.

Initiate at Overweight with Jun-27 PT of Rmb220

We initiate coverage of V-Test with an Overweight rating and a Jun-27 price target of Rmb220.00 (based on 30x one-year forward P/E), implying 75% potential upside to the current price. Our target multiple benchmarks the company's three-year historical average and sits 30% below the trading average of key A-share OSAT peers, reflecting a discount for its relatively limited pricing flexibility in the near term.

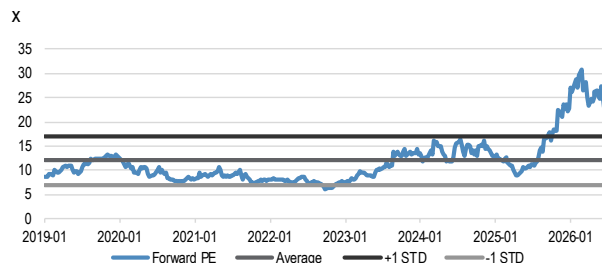
V-Test is currently trading at the lower end of its historical valuation range and at a significant discount to OSAT peers (~40% below on forward P/E). OSAT peers have re-rated since this April to roughly one standard deviation above their historical mean. Meanwhile, global third-party testing leader KYEC's valuation re-rating from below 10x to 30x P/E from end-2023 to Jun 2026 provides a reference point: the market's re-rating of AI testing as a structural growth driver could be a template that V-Test is well positioned to replicate, in our view.

Figure 8: Historical forward P/E trend – A-share peers



Source: Wind (6 Aug 2026), J.P. Morgan estimates.

Figure 9: KYEC's historical forward P/E band



Source: Bloomberg Finance L.P., Wind (6 Aug 2026), J.P. Morgan.

Table 2: China packaging and testing peer valuation comparison

Ticker	Company	Rating	Market cap (Rmb mn)	YTD perf.	P/E (x)			P/B (x)			ROE			2026-28E Earnings CAGR
					2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	
688372.SH	V-TEST	OW	20,518	12%	44.8	22.4	12.9	4.6	4.0	3.2	12%	19%	27%	73%
600584.SH	JCET	OW	135,763	107%	60.2	37.2	27.7	4.5	4.1	3.7	8%	11%	14%	46%
688820.SH	*SJSEMI	NC	253,822	78%	220.2	136.8	99.6	12.5	11.5	10.4	6%	8%	10%	40%
002156.SZ	*TFME	NC	92,513	62%	58.5	46.3	40.9	5.5	5.0	4.5	9%	10%	11%	23%
002185.SZ	*HUA TIAN	NC	57,362	58%	57.9	46.6	37.7	3.1	2.9	2.7	6%	6%	7%	29%
688362.SH	*FHEC	NC	29,727	102%	143.2	92.9	63.9	10.4	9.1	7.8	7%	10%	13%	79%
Average					97.4	63.7	47.1	6.8	6.1	5.4	8%	11%	14%	48%

Source: Wind, J.P. Morgan estimates. Note: Prices as of market close on 6 Aug 2026. * Wind consensus for Not Covered (NC) stocks.

Investment risks

Tester procurement restrictions impeding capacity expansion

High-end automated test equipment (ATE) systems and probe stations are supplied almost exclusively by non-Chinese vendors, with lead times extending to 6-12 months. Tightening US export controls or geopolitical factors could restrict procurement of advanced equipment, likely delaying V-test's capacity expansion and revenue conversion.

Export controls affecting repatriation of chip testing from foundries outside of mainland China

US Bureau of Industry and Security (BIS) rules introduced in January 2025 and its list of "approved" OSAT companies have temporarily disrupted CP testing of logic chips fabricated by overseas foundries at 16/14nm and below. Any future escalation could block overseas-fabricated wafers from Chinese testing houses like V-Test.

Intensifying industry competition

The structural growth opportunity is attracting new entrants, hence OSATs may reallocate testing resources toward AI chips as packaging margins face pressure. Meanwhile, domestic ATE suppliers are narrowing the capability gap, potentially lowering the equipment barrier to entry. The fragmented ecosystem amplifies total demand but gives customers strong bargaining power, which could limit V-Test's ability to pass through cost increases or sustain premium pricing if competition intensifies.

Weaker-than-expected non-AI demand

A prolonged macro slowdown and increasing BOM cost of components could depress end demand for non-AI chip testing, thereby putting pressure on tester utilization rates; with depreciation largely fixed, any shortfall would disproportionately impact gross margin of the company.

Third-party testing – an easily overlooked industry offering exceptional opportunities

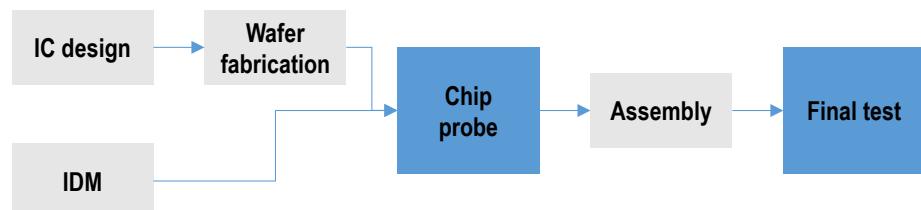
Third-party semiconductor testing has been systematically undervalued by the market, in our view, due to its early-stage development and low penetration in mainland China, compared to the validated blueprint of Taiwan's mature market. As China's semiconductor supply chain evolves toward specialized vertical division, third-party testing is approaching a structural inflection point driven by geopolitical decoupling, capacity shortage, and AI chip complexity upsurge. We estimate the total testing market in China reached Rmb48bn in 2025 (~13% 2021-25 CAGR), and the top 5 third-party players accounted for 10-20% on aggregate.

Third-party testing's position in the value chain

The semiconductor industry chain consists of four stages: Design, Manufacturing, Packaging & Testing, and Application. Pure testing service providers are often less familiar to the market because related procedures are typically incorporated into foundry or wafer manufacturing and assembly/testing services provided by OSAT companies. The supply chain includes the following stages:

- Chip design (Fabless): chip circuit design and layout.
- Wafer fabrication (Foundry): designed circuit transistors are processed onto wafers.
- Wafer sort or chip probe (Foundry, OSAT or **third-party testing vendors**): wafer-level functional and performance testing whereby good vs defective products are sorted through electrical testing.
- Chip assembly (OSAT): wafer grinding, dicing, bonding, etc., to assemble and form packaged chips.
- Chip testing or final testing (OSAT or **third-party testing vendors**): systematic testing (including function, performance, reliability, etc.) and screening are performed on the packaged finished chips.

Figure 10: Testing services within chip manufacturing process

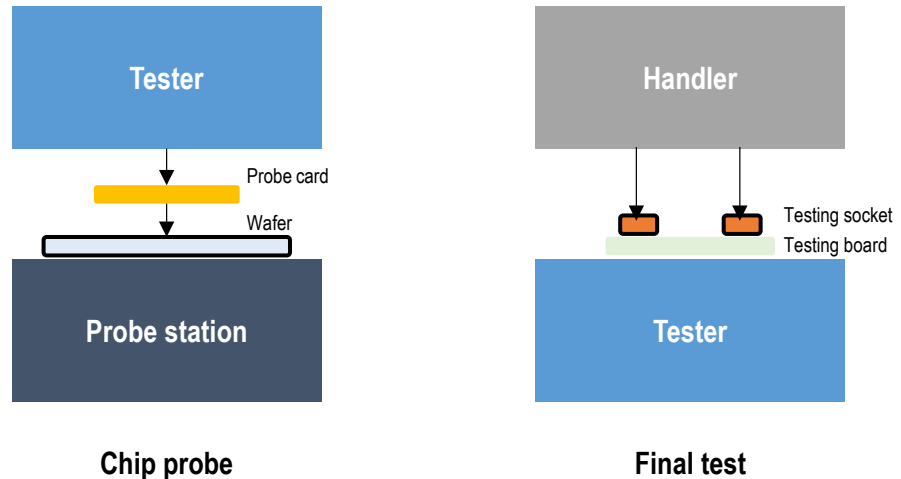


Source: J.P. Morgan.

Testing services are generally categorized into CP (Chip Probe), performed before wafer dicing as the first quality check, and then FT (Final Test), conducted after packaging as the final validation before shipment. Value-added services including test program development, System Level Test (SLT), and burn-in testing could be provided to form a comprehensive testing service matrix. Typically, the budget allocated to packaging and testing would be 70-80% vs 20-30%, and the split

between CP and FT should be around 30-40% and 50-60%, although the split ratio is dependent on the type of chips, production yield, and complexity of packaging.

Figure 11: Illustration of testing process by chip probe and final test



Source: J.P. Morgan.

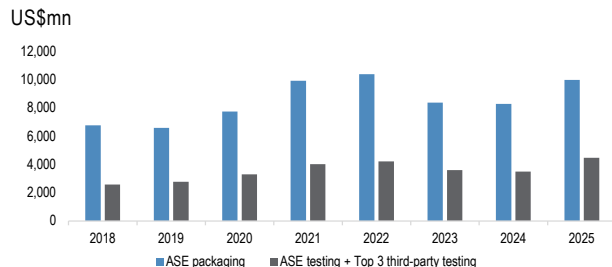
Downstream customer demand shows diversified segmentation. Fabless design companies form the core customer base for third-party testing vendors, and foundries and OSATs also outsource certain testing requirements.

The mature competitive landscape in Taiwan

Taiwan's third-party testing industry, developed over several decades, has formed a highly mature market structure. TSMC, as the largest foundry, and ASE, as the largest OSAT company globally, cultivated the testing market (including both chip probe and final test) and participated in the business, respectively.

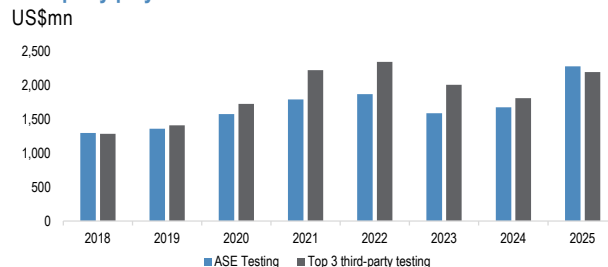
Among Taiwan's third-party testing companies, KYEC, Sigurd and Ardentec are the top players, and they collectively generated US\$2.2bn in revenue in 2025. This compares with US\$2.3bn in testing revenue for ASE, based on company reports. Considering that a meaningful portion of chip probe work is conducted within foundries, our calculations suggest the top 3 pure testing vendors likely hold >30% market share in Taiwan.

Figure 12: ASE's packaging sales vs sales of key testing vendors in Taiwan



Source: Company data (historical annual reports, 2018-2025).

Figure 13: ASE's testing sales vs consolidated sales of top 3 third-party players



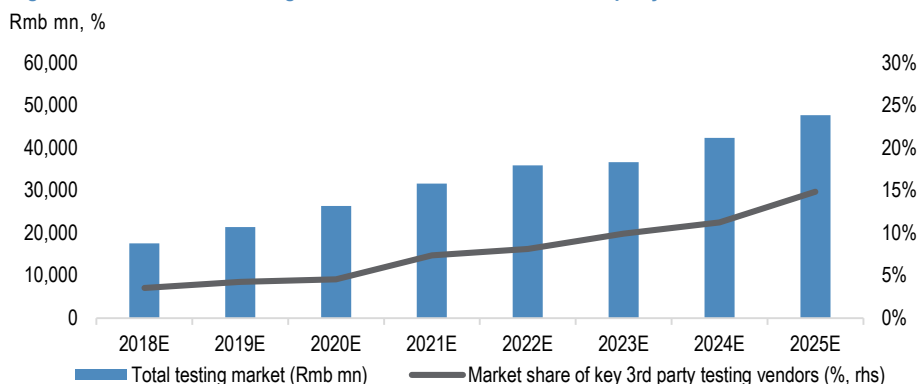
Source: Company data (historical annual reports, 2018-2025).

Domestic substitution and localization trend triggered by tightening restrictions

The US Commerce Department added Huawei to the Entity List in May 2019, requiring US companies to obtain licenses before exporting technology to Huawei, which immediately disrupted Huawei's access to US-origin components. A further ruling came in May 2020 with the Foreign Direct Product Rule (FDPR) amendment, which effectively blocked TSMC from producing chips for Huawei. The tightening regulations severed Chinese companies on the Entity List from the global advanced semiconductor supply chain, and thereby reinforced their collaboration with domestic Chinese partners such as foundries, OSATs, and so on.

We believe the domestic substitution wave triggered by decoupling is systematically creating testing demand. Domestic fabless design companies began actively supporting domestic testing suppliers, with high-end chip testing orders previously handled by Taiwanese vendors gradually flowing back to the mainland. We estimate the total market of related testing demand reached Rmb48bn in 2025, achieving ~13% (2021-25) CAGR amid the industry's cyclical trend.

Figure 14: China's total testing market and market share of third-party vendors



Note: Including V-Test, Leadyo, SinoIC and Luntek.

Source: CSIA (23 Jul 2026), V-Test (IPO prospectus), J.P. Morgan estimates.

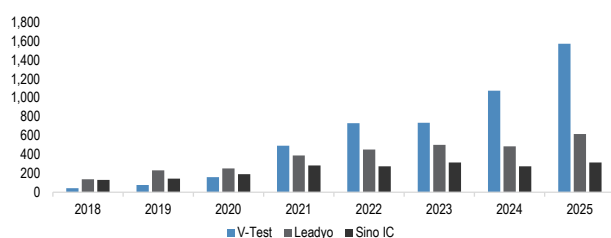
Compared to the Taiwan market, the combined revenue of listed domestic third-party testing vendors including V-Test, Leadyo and SinoIC was approximately Rmb2.5bn (or ~US\$350mn) in 2025 (according to company reports), delivering a more than 30% five-year CAGR (vs 10%+ by major OSATs). V-Test outpaced the group with a 58% CAGR, making it the largest among the listed companies in terms of revenue.

Among leading non-listed domestic peers, King Long Technology (KYTEC's former mainland subsidiary) was sold to Tongfu and the investment platform of a local government, and Xinyun Semiconductor (or, Luntek Technology), a key partner to Huawei, also has a strong presence in the domestic testing market.

We estimate the major players (including private ones) in third-party testing accounted for 10-20% market share of China's total testing demand by 2025.

Figure 15: Revenue comparison of listed Chinese third-party testing companies

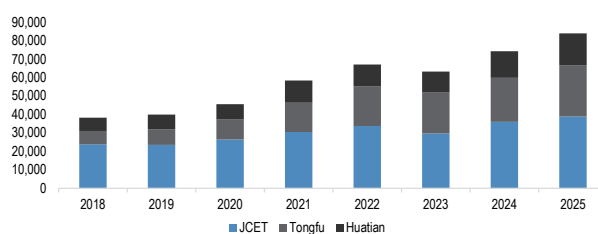
Rmb mn



Source: Company data (historical annual reports, 2018-2025).

Figure 16: Revenue comparison of leading Chinese OSAT companies

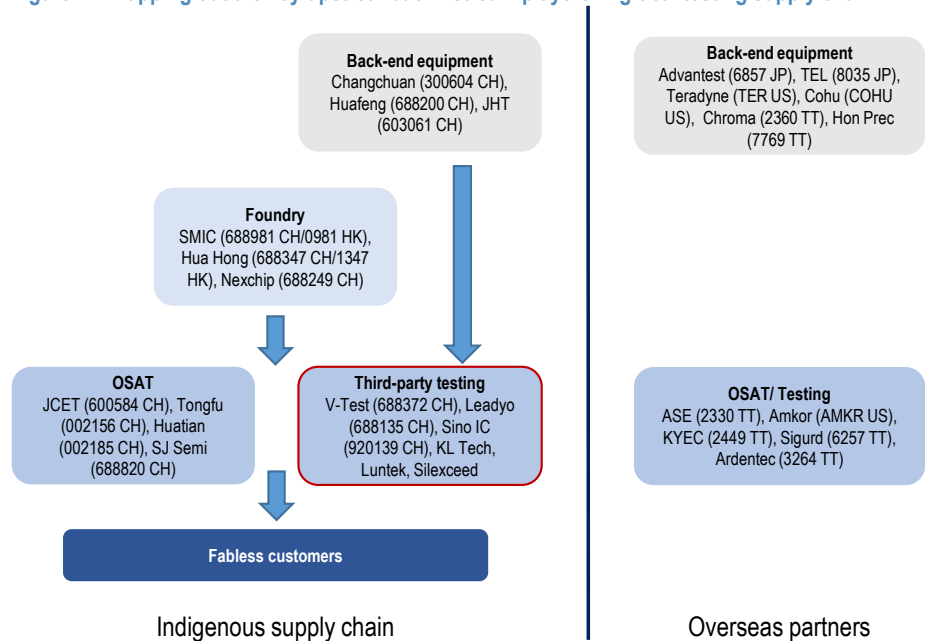
Rmb mn



Source: Company data (historical annual reports, 2018-2025).

From a supplier perspective, the global semiconductor testing equipment market is dominated by Teradyne of the US and Japan's Advantest, with the two collectively holding approximately 80%+ of the ATE market. Notably, domestic testing equipment is rapidly emerging. Changchuan leads in logic testers (also providing handler, probe station, burn-in oven, etc.), and Huafeng Test & Control leads in analog testers. The probe station market is led by Tokyo Electron and Tokyo Seimitsu, while the handler segment includes Cohu and Advantest.

Figure 17: Mapping out the key upstream/downstream players in global testing supply chain



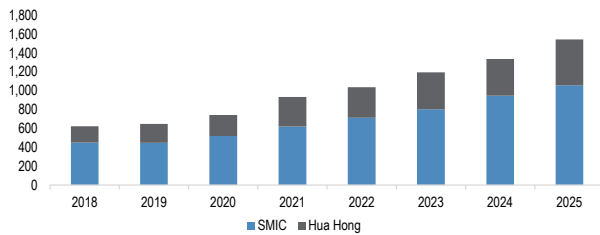
Source: J.P. Morgan. Note: an interactive dashboard ([link](#)) to assist with the screening of the indigenous supply chain in China.

Structural opportunities from decoupling of both foundry and OSAT

Foundry capacity expansion is a key positive catalyst to directly drive CP testing demand. Key foundry players in mainland China such as SMIC and Hua Hong have been actively adding capacity in both advanced and mature nodes, even though TSMC holds the majority of global market share. Despite anti-cyclical capacity expansion in the past several years, we expect capital spending of domestic foundry players to maintain an elevated level to increase self-sufficiency capabilities, especially under controlled access to advanced chip manufacturing resources overseas. Unlike TSMC, foundries in mainland China barely build substantial wafer probe or sort capacity, therefore CP demand would rely more on third-party vendors, while there is increasing adoption of local foundry capacity on advanced nodes.

Figure 18: Monthly capacity of SMIC and Hua Hong (8" wafer equivalent)

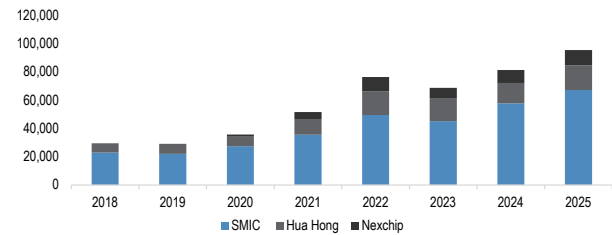
k wafer per month



Source: Company data (Public filings, 2018-2025).

Figure 19: Consolidated revenue trend of top foundries in mainland China

Rmb mn



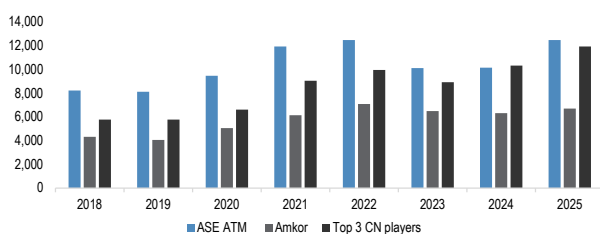
Source: Company data (Historical annual reports, 2018-2025).

The leading Chinese OSATs including JCET, Tongfu and Huatian already account for a meaningful portion of the global market, compared with global leaders like ASE and Amkor, due to the industry nature (i.e., labor intensive, lower technical barriers, etc.). Based on the favorable position held by domestic OSATs, third-party testing vendors could benefit from outsourced FT orders, in our view, given OSATs usually de-allocate testing resources (vs established packaging capacity) to manage utilization rate or achieve greater efficiency.

Additionally, Chinese players are proactively expanding advanced packaging capacity to fulfill demand of ramping up the indigenous AI industry, with the proliferation of 2.5D/3D packaging and chiplet technologies further increasing testing complexity. With that said, OSATs' in-house testing capacity likely faces structural imbalances, largely owing to inferior capacity flexibility and insufficient capability on developing high-end testing programs, which creates incremental opportunities for independent third-party testing vendors.

Figure 20: Revenue comparison of ASE ATM, Amkor and Top Chinese OSAT players

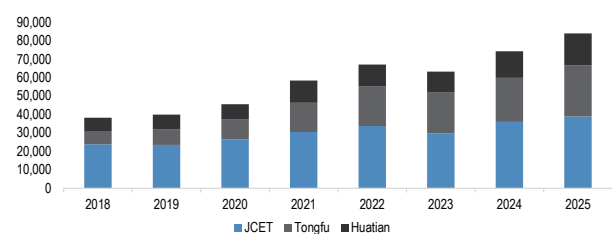
US\$mn



Source: Company data (Historical annual reports, 2018-2025).

Figure 21: Revenue comparison of leading Chinese OSAT companies

Rmb mn



Source: Company data (Historical annual reports, 2018-2025).

In Jan 2025, the US Bureau of Industry and Security (BIS) introduced a list of “approved” OSAT companies in order to control logic chips produced at the 16/14nm node or below, which temporarily impacted the CP orders of chips produced by overseas foundries shipped to Chinese OSATs. Our supply chain checks suggest the fabless customers focusing on consumer electronics gradually received approvals from BIS to adopt vendors outside the list, thus the related CP demand has largely resumed. More importantly, in the medium to long term, we expect the

further de-coupled domestic supply chain to serve advanced (testing) demand locally, as well as adopting fully localized partners to support the capability of manufacturing advanced chips as well as the proliferating AI industry.

Structural advantages of pure-play testing industry in China

Key catalysts such as increasing chip complexity, shorter product iteration cycles, and deepening specialization are driving testing to become an independent segment. The pure-play third-party testing business model offers some key advantages:

- Neutral positioning: pure-play testers do not engage in chip design, wafer manufacturing, or packaging, eliminating competitive conflicts with clients.
- Specialization: pure-play testers focus R&D exclusively on testing process development, meaning superior test program capabilities can be achieved compared to OSATs' testing divisions.
- Capacity flexibility: the same tester can serve different clients by simply changing test programs, enabling dynamic capacity allocation across multiple clients during industry cycles.
- Cost structure advantage: testing services' primary costs are equipment depreciation and labor, with minimal raw material exposure, making them far less sensitive to commodity price fluctuations than integrated OSATs.

In China, we also expect the third-party testing industry to continue to thrive, thanks to: 1) the enormous headroom from low penetration, 2) the accelerating domestic testing demand driven by localization, and 3) the increasing reliance on local supply chain for advanced chips.

Domestic AI demand and constraints are nurturing third-party testing industry

Despite decoupling tailwinds, we expect the domestic third-party testing industry to significantly benefit from: 1) daily AI token consumption surging 1,000x in two years (from ~100 billion to 140 trillion/day; 2) domestic AI chip vendors entering dense new-architecture tape-out cycles; and 3) US export controls applied on advanced nodes encouraging build-out and adoption of local capacities. We expect very strong demand for AI chip testing to be amplified by hardware/production constraints, and we forecast the testing demand of domestic AI chips in China to grow at an 88% CAGR over 2026-28E (vs a 23% CAGR of total testing demand).

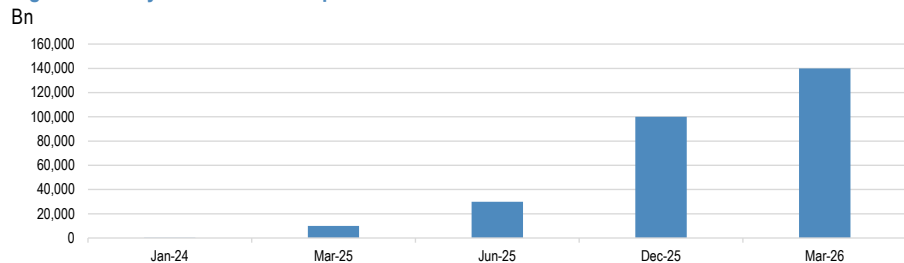
Booming indigenous AI demand from token surge

Affordable models drive surge in token consumption

China's AI computing demand is undergoing an exponential increase. The best metric to consider is not traditional chip shipment, data center build-out scale, or fundraising amounts, but the daily token consumption – the equivalent of "power consumption" for the AI industry – which directly characterizes the true load intensity on underlying computing infrastructure.

In early 2024, national daily token consumption was approximately 100 billion, and DeepSeek had not yet launched. By end-2025, the figure had surged to 100 trillion, and had further breached 140 trillion by Mar 2026, according to National Data Administration. Within two years, daily token consumption grew over 1,000x.

Figure 22: Daily AI token consumption in China



Source: National Data Administration (26 Mar 2026).

Behind this trajectory is DeepSeek's late-2024 release of DeepSeek-V3, which transformed the industry ecosystem: with low-cost, lightweight architecture and open-source characteristics, it lowered the AI application threshold from "big tech exclusive" to "SME affordable", triggering a nationwide surge in inference computing demand.

Ramping indigenous AI supply chain to resolve hardware constraints

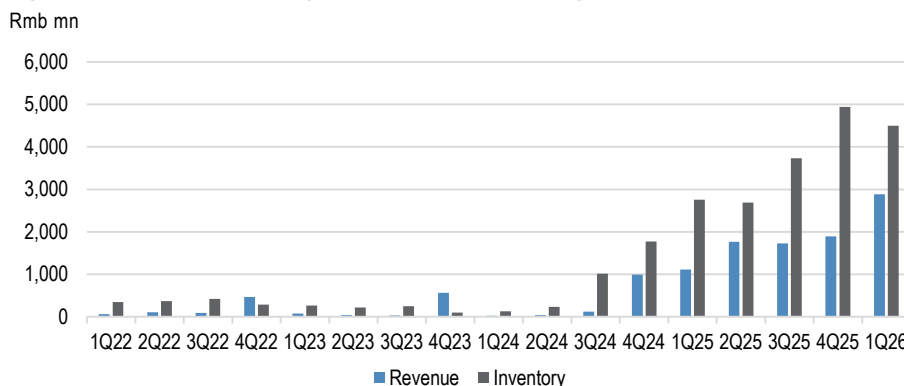
On the hardware front, domestic GPUs/AI ASICs are filling the computing gap rapidly, due to controlled availability of advanced chips overseas. Following the recent flurry of IPOs from Chinese AI chip companies, the industry is now in the phase of commercialization or industrialization of domestic GPUs or AI ASICs. Considering both exponential (inference) demand and likely restrained overseas

supply, we expect domestic AI computing chips to remain a seller's market for the next 6 to 12 months, under progressive release of advanced foundry capacity locally.

We believe chip players with a high inventory buffer could be preferred by customers in the near term. Although the release of advanced capacity by domestic foundries is likely to happen at a very moderate pace, we believe the majority of domestic AI chip vendors will count on domestic foundries' leading-edge capacity, and a certain level of capacity reservation is likely to guarantee predictable revenue generation (other than inventory depletion) in the longer run, as well as smooth technology migration in the future.

Cambricon is an example of a local AI chip player building up its indigenous supply chain, which delivered significant revenue growth in the past the several quarters. Wind consensus is forecasting >140% revenue growth in 2026, after a fivefold expansion in 2025.

Figure 23: Cambricon's quarterly revenue trend and inventory



Source: Cambricon (Quarterly financial reports, 1Q22-1Q26).

Incremental growth in market for third-party testing of domestic AI chips

Explosive growth in daily token consumption requires significant and sustained supply of AI chips, and these chips must undergo the complete testing flow (CP, FT, SLT, and burn-in, etc.). Meanwhile, as AI chip shipments accelerate from the 100 thousands toward millions or even tens of million, the baseline for testing demand is being systematically and permanently elevated.

The pull from domestic AI chips on third-party testing is not a uniform linear growth but likely follows a two-stage ramp model: the near-term demand (3-6 months) is expected to be largely driven by inventory accrued, to be followed by large shipments of advanced chips fabricated at local facilities that would stimulate incremental demand over the medium to long term.

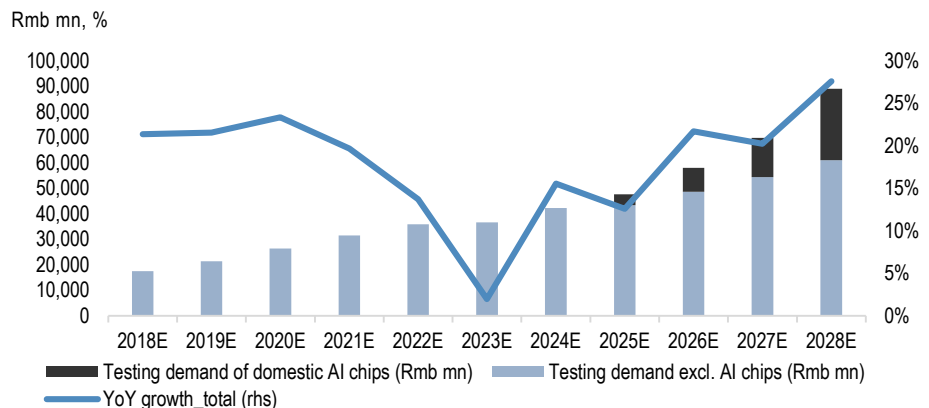
Significant incremental demand driven by volume production at domestic foundries

Considering the lead-time from tape-in to volume shipment, we expect the true qualitative change will begin from late 2026 onwards. Meanwhile, domestic foundries are firmly expanding leading-edge capacity for AI chips, with several structural changes set to fundamentally re-write the testing demand landscape:

- **Highly fragmented nature of domestic AI chip ecosystem amplifying testing demand.** Huawei ASCEND, Cambricon, Alibaba T-head, Baidu Kunlunxin, Hygon, Iluvatar CoreX, Biren, MetaX, Moore Threads and others are competing simultaneously to gain share from the market left by NVIDIA. Each vendor has a unique chip architecture, different package schemes and distinct testing specifications. The unique situation means testing service providers need to develop independent test programs for each customer's chip model, with low testing program reusability, significantly amplified development workload and tester debugging time.
- **Testing supply/demand gap widening.** Domestic foundries have limited in-house CP capacity, mostly supporting mature nodes, and OSATs' testing capacity usually serves traditional consumer chips, with few top-tier testers available for high-end AI chips such as the Advantest V93000. While entering concentrated volume production ramp into 2H26, this structural gap creates a unique market opportunity for pure-play third-party testers.
- **Full-chain testing demand surge, from CP to FT to SLT.** Unlike the prior stage (inventory depletion to primarily drive FT and SLT), volume production at local foundries will generate huge CP testing demand, and all dies on the 12-inch wafer must undergo individual electrical testing via probe card before dicing.

In our base case, we expect total testing demand in China to grow at a 23% CAGR during 2026-28E and reach Rmb89bn by 2028E, and AI chip related demand to outpace this at an 88% CAGR, to account for c30% of total demand by 2028E (from a single-digit percentage in 2025). We derive our testing demand assumption for AI chips from our shipment forecast of domestic suppliers ([link](#)), and key assumptions include: 1) a logic die size of 700mm² equivalent; 2) all shipments based on 7nm or N+2 foundry node; and 3) single die in a package.

Figure 24: Total testing demand in China by conventional and AI chips



Source: CSIA (23 Jul 2026), V-Test (IPO prospectus), J.P. Morgan estimates.

We believe third-party testing vendors in China are best positioned for testing demand driven by ramping up of the local AI supply chain, thanks to their: 1) neutral positioning; 2) specialization in advanced chips; and 3) capacity readiness or flexibility skewed to high-end testing equipment. In the past, third-party testing typically accounted for 20-30% of the total testing market, but we expect significant market share gains by key players, on top of a progressively expanding TAM.

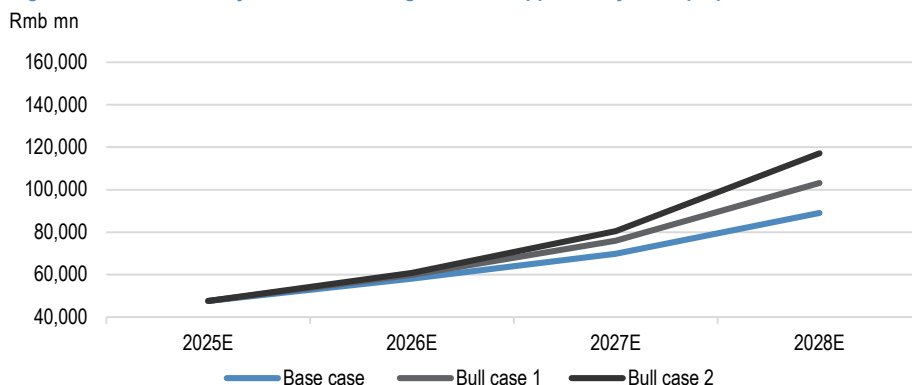
Upside potential from increasing adoption of multi-die package

US export controls or regulations were intended to constrain China's advanced-node chip manufacturing capability. However, from the third-party testing industry's perspective, these controls have paradoxically produced an unexpected reflexivity effect, which we believe would provide additional upside to testing demand.

Due to technology/equipment restriction, domestic AI chips are forced to accelerate chiplet architecture adoption – i.e., splitting a large chip into multiple smaller dies, each manufactured at its optimal process nodes, then integrated via 2.5D packaging (silicon interposer/CoWoS-equivalent), to overcome single die area and yield limitations.

There are multiple impacts of inferior production yield and chiplet or multi-die architecture on testing, not only on volume but also on testing complexity. Our scenario analysis suggests the adoption of multi-die packages could provide 15-30% upside to the total testing demand in China. In addition to higher output of GPUs per wafer (at smaller die size with better yield), our assumptions include a two-compute-die solution as well as: 1) 1.5-2x multiplier effects on CP volume/ complexity; and 2) 1.2-1.5x testing time for FT (e.g., higher pin counts, greater power density, etc.). Our two bull cases apply up to 1.5x/2.0x multiplier effects on the consolidated AI chip testing chain by 2028E, respectively, compared with our base case scenario (see Figure 24).

Figure 25: Scenario analysis of total testing demand supported by AI chip upside



Source: J.P. Morgan estimates.

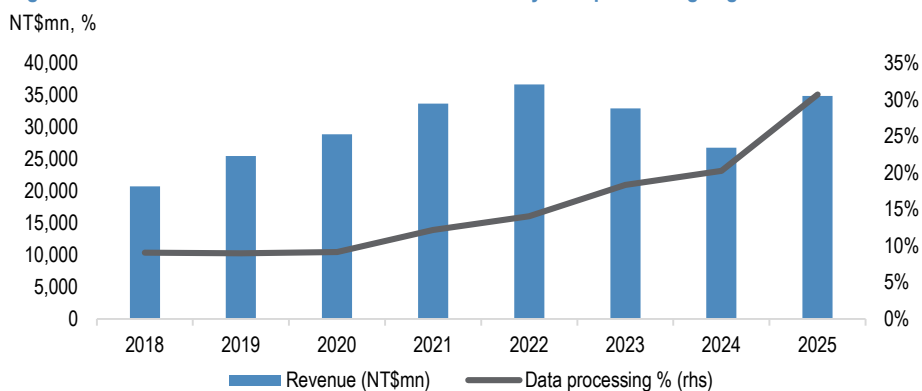
KYEC case study: AI-driven industry beta

Taiwan-based KYEC (2449 TT, Not Covered) is the largest third-party testing provider globally, thus we believe its growth trajectory in the AI era provides a good framework for understanding the AI-driven growth and valuation re-rating potential for V-Test.

From cycle bottom to a doubling in profitability

KYEC's 2023 revenue declined by 10% YoY to NT\$33.0bn, at a time when testing demand for traditional consumer chips was shrinking amid a global semiconductor downturn. Despite consolidated revenue further declining in 2024 (primarily due to divestiture of mainland subsidiary King Long in May 2024, which stripped out 20-30% of mid- to low-end revenue, according to company filings), in 2025 KYEC's revenue grew by 30% YoY to NT\$35.0bn. Its AI-related or data processing revenue share rose to >30% (vs 18% in 2023, a 30%+ CAGR), with after-tax net profit at NT\$11bn (nearly doubling profitability from the 2023 level).

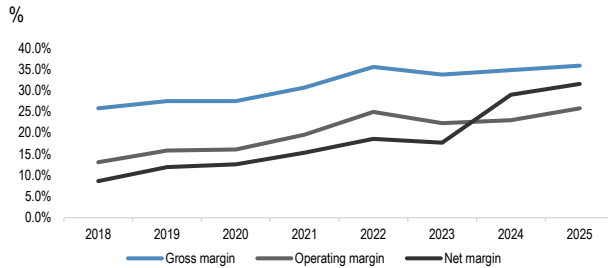
Figure 26: KYEC's historical revenue and contribution by data processing segment



Source: KYEC (Historical public filings, 2018-2025).

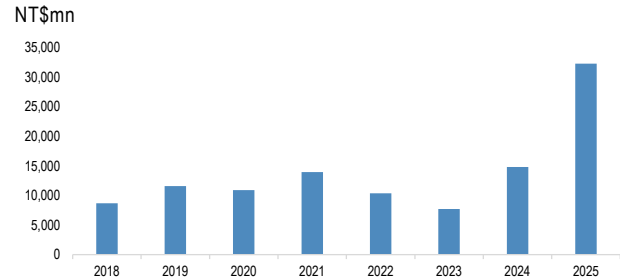
The company revised its annual Capex upward to NT\$32bn in 2025 (more than double the 2024 level) and in Apr 2026, to meet operational requirements and capacity additions, its Board approved raising annual Capex to a record NT\$50bn. Notably, the company's gross margin improved to 35.8% in 2025 (from recent rough of 33.7% in 2023), despite ongoing Capex (and depreciation from new capacity ramp-up).

Figure 27: KYEC's historical margin trend



Source: KYEC (Historical annual reports, 2018-2025).

Figure 28: KYEC's historical Capex trend

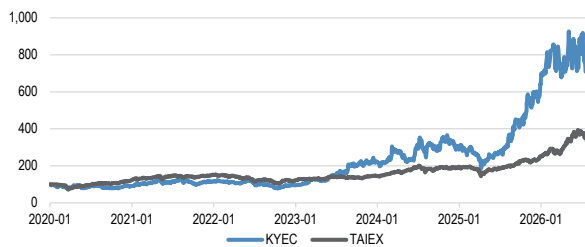


Source: KYEC (Historical annual reports, 2018-2025).

Valuation rerating: outperforming Taiwan market

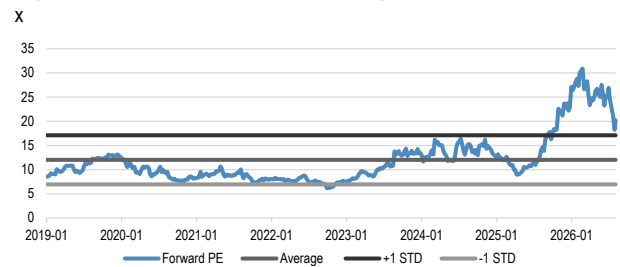
In early 2023, the stock was trading at the lower end of its historical valuation range (~7x one-year forward P/E). As AI testing demand continued ramping, KYEC's share price rose 31% in 2024 to trade at a forward P/E of 13x. In 2025, earnings rose by 41% YoY, while the stock gained ~120%. From Jan 2023 to July 2026, KYEC outperformed the broader Taiwan market by >3x. Now trading at 20x forward P/E (on Bloomberg consensus), valuation is 1 SD above historical average.

Figure 29: Performance comparison – KYEC vs TAIEX



Source: Wind (6 Aug 2026).

Figure 30: KYEC's historical P/E trading band



Source: Bloomberg Finance L.P., Wind (6 Aug 2026).

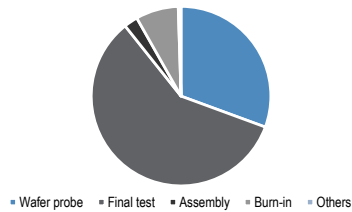
Structural divergence between Taiwan and mainland China markets

We note the limitations in our case study, as we cannot simply equate the third-party testing market in mainland China with Taiwan's, given fundamental differences exist in industry chain structure, customer ecosystem and capacity deployment. These differences also point to the mainland's unique growth logic.

After over three decades of evolution, Taiwan's semiconductor industry has highly mature CP testing infrastructure, as foundries built significant in-house CP capacity to serve customers, with KYEC and other third-party testing vendors forming supplementary and overflow capacity. By contrast, Chinese suppliers have long been in a phase of emphasizing package but neglecting testing, foundries concentrate resources on process R&D and capacity expansion, with CP testing long under-invested as an ancillary step, and OSATs' equipment primarily serves mid- to low-end chips, unable to match AI chip testing complexity (high power, high pin count, high-speed signal integrity). We also note the different revenue exposure mix of KYEC and V-Test, where CP accounts for a higher portion of V-Test's revenue.

Figure 31: KYEC's revenue by segment (2025)

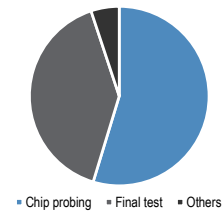
%



Source: KYEC (2025 annual report).

Figure 32: V-Test's revenue by segment (2025)

%

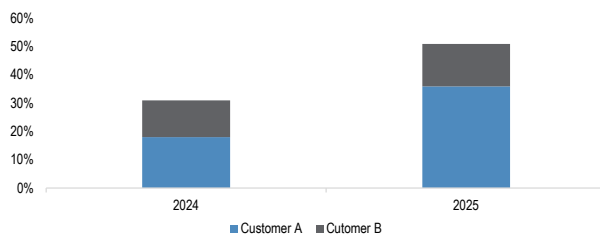


Source: V-Test (2025 annual report).

Taiwan's AI chip testing market is highly concentrated around global leaders such as NVIDIA, AMD, ASIC projects (Google, Amazon, etc.). KYEC's top two customers contributed ~50% of 2025 revenue, per company reports. On the other hand, mainland China is a typically fragmented market, and V-Test's top five customers only accounted for ~40% of 2025 revenue. Even though fragmentation increases costs, it also means more stable, more diversified revenue resources, lowering dependency on a single customer.

Figure 33: KYEC's revenue mix by top 2 customers

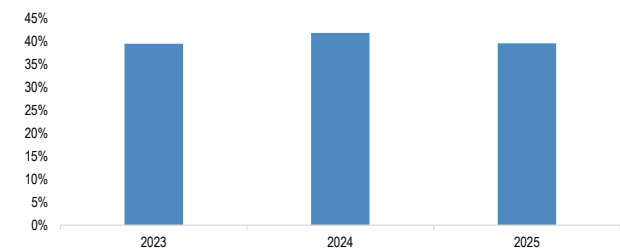
%



Source: KYEC (Historical annual reports, 2024-2025).

Figure 34: V-Test's revenue contribution by top 5 customers

%



Source: V-Test (Historical annual reports, 2023-2025).

KYEC, with over three decades of history, commands a globally leading fleet of high-end testers (>5,500 units) and GPU burn-in testing through self-developed high-power burn-in ovens. However, mainland third-party testers' high-end tester fleet remains at the catch-up stage; for instance, V-Test has a tester fleet (in total) less than one-third the size of KYEC's. However, this generational gap also means there is room for catch-up and investment opportunity, supported by the domestic demand surge and domestic substitution.

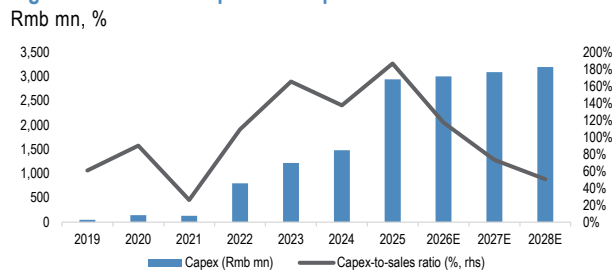
V-Test's favored position to capture AI chip testing demand

We believe V-Test is positioned at the center of a structural transformation in China's semiconductor testing industry. As domestic AI chip production scales up, supported by ramping of advanced nodes locally, the company is uniquely placed to capture value from structurally inflated testing demand of domestic AI chips. Key pillars include: 1) a counter-cyclical capacity expansion strategy that cements market leadership; 2) a deep moat built upon the industry's largest tester fleet, diversified high-end customer coverage, and continuous R&D; and 3) a margin-accretive shift toward higher-end CP and AI chip testing. We model 59%/73% sales/earnings CAGRs over 2026-28E, and expect the company's market share of third-party testing demand to double from ~10% to 20%+ by 2028E.

A counter-cyclical strategy of capacity expansion to cement leadership

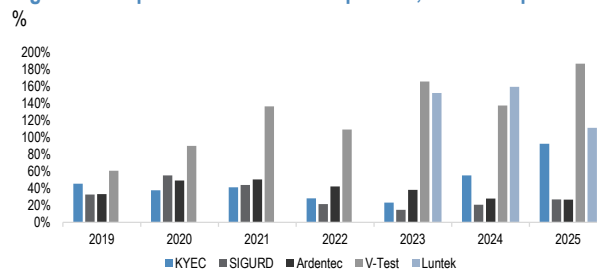
V-Test's commitment to capital spending in past years, surviving the industry downcycle, had raised the concerns over depreciation pressure – specifically, its 2025 Capex reached Rmb2.9bn, of which equipment spending was c.Rmb2.5bn, which yields a capex/revenue ratio of 187%. The ratio not only far exceeds domestic peers, but also surpassed KYEC's 2025 level (93%). Nevertheless, we believe such a capital allocation strategy is commercially rational given high demand certainty and solid customer commitments.

Figure 35: V-Test's Capex and Capex-to-sales ratio



Source: V-Test (Prospectus and historical annual reports, 2019-2025), J.P. Morgan estimates.

Figure 36: Capex-to-sales ratio comparison, V-Test vs peers



Source: Company data (Historical annual reports, 2019-2025).

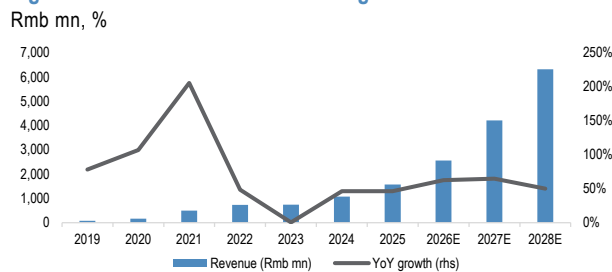
Some takeaways from our KYEC case study above include: 1) AI chip testing capacity expansion windows may feature first-mover advantage, while latecomers face customer qualification barriers and equipment lead-time bottlenecks; 2) the counter-cyclical nature of capex, with decisive capacity expansion as the key to capturing AI beta; and 3) capex intensity directly determines the revenue ceiling and earnings release trajectory over the subsequent two to three years.

As we expect V-Test to sustain a high level of investment intensity throughout 2026, the rapidly accumulated capacity and equipment would open up revenue upside potential. More importantly, the fine-tuning process of testing equipment is relatively

short (vs front-end equipment); therefore, a faster revenue conversion or payback period could be expected.

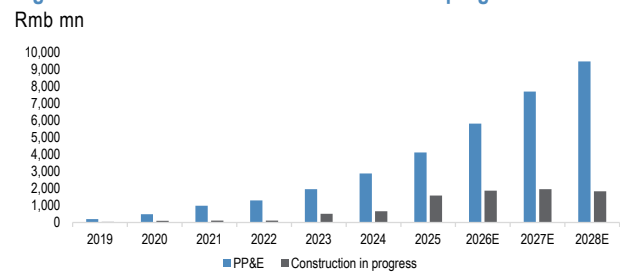
After growing revenue at a ~58% CAGR over the past five years, we now expect V-Test's top line to accelerate at 63%/65%/50% YoY into 2026/27/28E respectively, indicating a 59% three-year CAGR, thanks to strong counter-cyclical investment and an industry upcycle driven by ramping of domestic AI chips. We believe V-Test could double its market share by 2028E, reaching >20% of third-party testing demand (from ~10% in 2025).

Figure 37: V-Test's revenue and YoY growth



Source: V-Test (Prospectus and historical annual reports, 2019-2025), J.P. Morgan estimates.

Figure 38: V-Test's PP&E and construction-in-progress trend

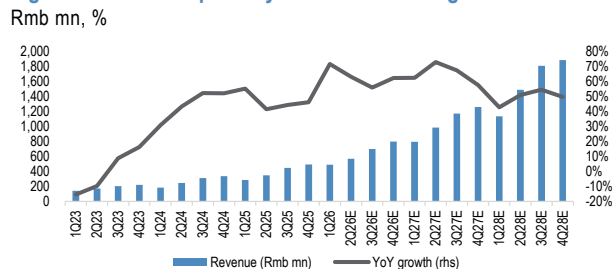


Source: V-Test (Prospectus and historical annual reports, 2019-2025), J.P. Morgan estimates.

Short-term vs long-term perspectives on depreciation pressure

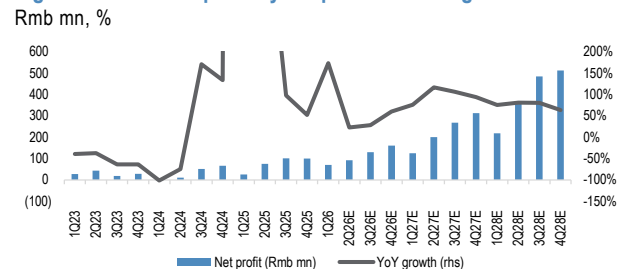
V-Test's 2025 depreciation reached ~Rmb450mn, and we estimate ~Rmb710mn in 2026 (+59% YoY), with new depreciation mainly from the Rmb2.5bn of equipment spending in 2025 being gradually capitalized. The depreciation burden will indeed impact near-term margin; however, with capacity utilization maintained at a high level, the per-chip fixed cost is significantly lower. Notably, V-Test's 1Q26 sales grew 72% YoY, and net profit surged 173% YoY (far outpacing depreciation growth), which demonstrated that the incremental revenue's marginal profit contribution sufficiently covers incremental depreciation.

Figure 39: V-Test's quarterly revenue and YoY growth



Source: V-Test (Historical quarterly reports, 1Q23-1Q26), J.P. Morgan estimates.

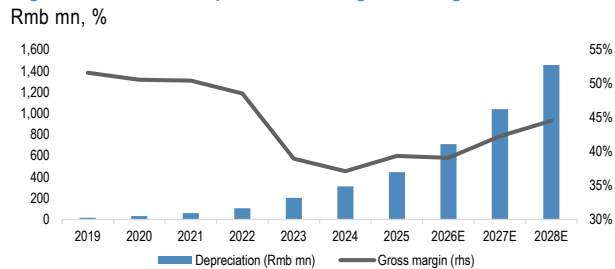
Figure 40: V-Test's quarterly net profit and YoY growth



Source: V-Test (Historical quarterly reports, 1Q23-1Q26), J.P. Morgan estimates.

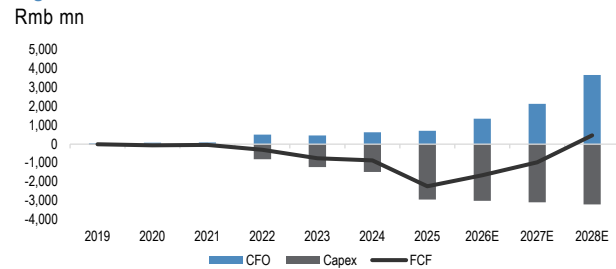
Given that testing equipment depreciation is amortized over 10 years, this non-cash expense does not affect operating cash flow. While capacity utilization stays at high levels (80%+), depreciation is a structural cost rather than an incremental cost. As we model 65%/50% revenue YoY growth into 2027/28E, which outpaces depreciation growth of 46%/40% respectively, gross margin will naturally recover to 44.6% by 2028E (from a recent trough of 37.1% in 2024) on top of high utilization and a favorable product mix.

Figure 41: V-Test's depreciation and gross margin



Source: V-Test (Prospectus and historical annual reports, 2019-2025), J.P. Morgan estimates.

Figure 42: V-Test's free cash flow trend

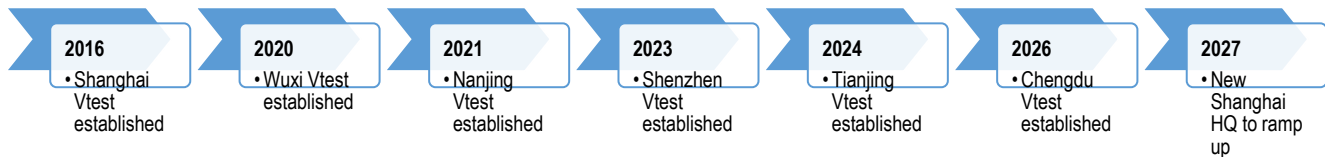


Source: V-Test (Prospectus and historical annual reports, 2019-2025), J.P. Morgan estimates.

Multi-site layout and industrial clustering effects

Thanks to proactive capacity expansion over the past two to three years, the company has formed a nationwide testing service network covering the Yangtze River Delta, Pearl River Delta, and Chengdu-Chongqing regions, with each base clearly positioned and strongly complementary. Beyond its existing Shanghai headquarters, we believe the location advantage of its Nanjing and Wuxi factories is particularly compelling. Situated adjacent to leading foundries, they form an advantage in CP testing. In addition, with OSAT capacities located near key foundry fabs, we expect a unique packaging-testing synergy to be created.

Figure 43: Key milestones of V-Test's footprint expansion



Source: Company website (27 Jul 2026), J.P. Morgan.

By 2025, Wuxi accounted for 50% of V-Test's total capacity, with incremental contribution from new factories ahead. Both Shanghai and Nanjing accounted for ~20% each, with Nanjing still ramping up. The Shanghai new headquarters is expected to complete construction by end-2026, with relocation from the old base to the new headquarters commencing in 1H27, accompanied by equipment renewal investment. Furthermore, V-Test established its Chengdu subsidiary in early January this year. Given the strategic importance of the location and the proliferation of the local semiconductor industry, we believe this move will bring a new growth opportunity for the company.

Moat formation supported by leading equipment fleet and long-lasting R&D investment

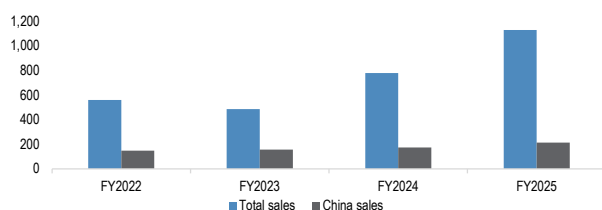
Installation base of testers a competitive advantage

In the relatively capital-intensive testing industry, the installation base of testers is the most direct measure of core competitiveness. Advantest, the leading ATE supplier, saw its sales exposure to China grow modestly in recent years (outpacing its total sales), even amid the industry downturn.

V-Test is the largest pure-play third-party testing company by installed tester fleet among A-share listed companies. As of end-2025, total testers exceeded 1,500 units, with >400 high-end units. However, the lead time of high-end testers has extended to 6-12 months or beyond, with global capacity tight. V-Test employs a procurement strategy of locking in long-term orders (i.e., 3 years) and rolling demand management, which helps maintain a normal delivery rhythm despite equipment supply tightness. Our analysis suggests V-Test's procurement accounted for ~10% of Advantest's 2025 sales in China, which we believe is a meaningful scale, and thus its procurement power is difficult for smaller players to replicate.

Figure 44: Advantest's total revenue vs China revenue

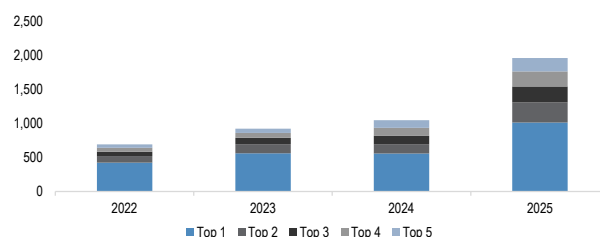
JPY bn



Source: Advantest (Historical annual reports, FY2022-2025).

Figure 45: V-Test's procurement from top 5 suppliers

Rmb mn



Source: V-Test (Historical annual reports, 2022-2025).

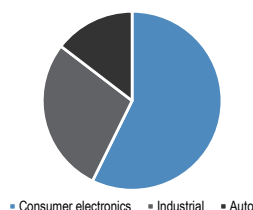
Continually diversifying customer and application coverage

V-Test covers the vast majority of domestic leading fabless design companies, according to company reports, with its customer footprint spanning consumer SoCs, smartphone SoCs, industrial, automotive, ASAS, AI chips (CPU/GPU/ASIC), and more. By application, consumer electronics contributed 59% in 2025, followed by 29% industrial and 15% automotive. Separating chips by computing power, the sales exposure of computing chips rapidly increased to 20% by end-2025, from 10% in 1H25, largely driven by continuously ramping new customers and projects.

For high-end chip designers selecting testing suppliers, we believe capacity scale is a core qualification metric. For leading AI chip designers, testing suppliers must demonstrate capability to handle large-volume orders in addition to high-end capacity installed. V-Test has proved its capability of serving diversified customers with abundant capacity support, and we now anticipate its product mix is undergoing a value-density revolution, transitioning from traditional volume gain toward a one-stop high-end testing solution. The core driver of this transformation is the structural demand surge from AI (compute) chips.

Figure 46: V-Test's revenue mix by application (2025)

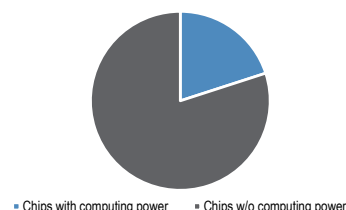
%



Source: V-Test (2025 annual report).

Figure 47: V-Test's revenue mix by computing power (2025)

%



Source: V-Test (2025 annual report).

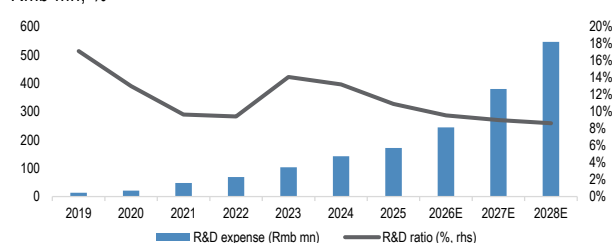
Consistent R&D resources invested to strengthen engineering capability

A fleet of 1,500+ testers means the company has accumulated test program libraries covering the full spectrum of chips (except memory). Developing a new high-end chip test program requires significant engineering resources, but the more programs accumulated, the faster test engineers can adapt to new chip parameter requirements based on historical programs.

Despite an elevated level, V-Test's R&D expense grew 21% YoY in 2025 (~11% of revenue), demonstrating intensive resources invested for new customers' debut, especially when compared with mature Taiwanese peers and other local players. Against the backdrop of rapidly growing revenue, the structural dilution of the R&D expense ratio is indicative of technology leverage ahead, even though we believe the absolute amount of R&D is still accumulating.

Figure 48: V-Test's R&D expense and ratio

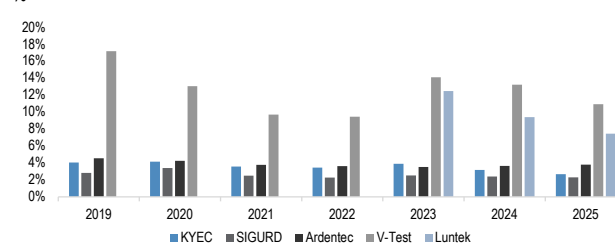
Rmb mn, %



Source: V-Test (Prospectus and historical annual reports, 2019-2025), J.P. Morgan estimates.

Figure 49: R&D ratio comparison, V-Test vs peers

%



Source: Company data (Historical annual reports, 2019-2025).

Profitability optimization with AI chip-driven value enhancement

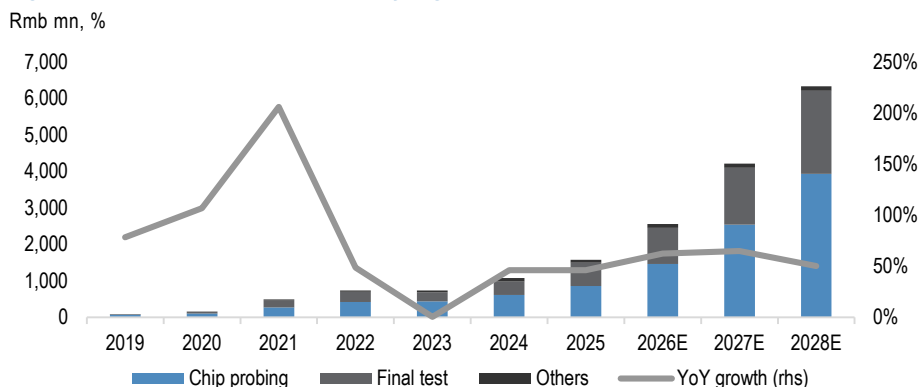
Ramping local wafer capacity to feed V-Test's higher-margin CP business

Historically, domestic foundries systematically underinvested in CP testing, focusing instead on process development and fab construction. Consequently, V-Test's CP revenue exposure (~60%) has typically exceeded that of its mature Taiwanese peer KYEC (30–40%), largely because local foundries and OSATs lacked the necessary equipment and capacity.

Beyond this structural void, domestic foundries are now proactively building advanced logic capacity to close the self-sufficiency gap. Coupled with tightening regulations on Chinese customers assessing overseas capacity, we expect an increasing share of wafers (and chips) at 14/16nm and below to be fabricated by mainland foundries, covering not only CPU/GPU/AI ASIC products but also high-end consumer chips such as smartphone APs and ADAS. Every incremental wafer produced must undergo CP testing, and this constructive demand we expect will disproportionately benefit V-Test, thanks to its leadership in tester fleet scale and ownership of advanced equipment.

We forecast V-Test's CP revenue to sustain a ~60% level going forward, modeling a 66% CAGR during 2026-28E (vs 59% for consolidated sales). Additionally, CP business carries a higher gross margin than FT, mainly due to better (unit) economics of scale and less changeover or mechanical recalibration.

Figure 50: V-Test's revenue breakdown by segment



Source: V-Test (Prospectus and historical annual reports, 2019-2025), J.P. Morgan estimates.

AI chip testing to drive revenue and profit upward

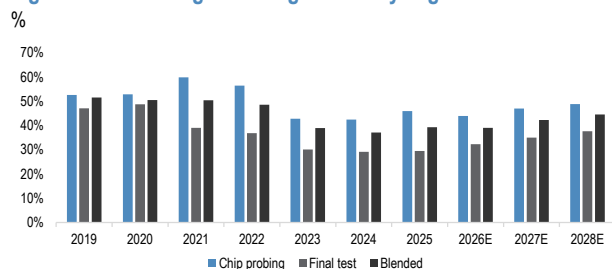
Thanks to the upcoming volume shipment of locally produced AI chips, we believe V-Test's computing exposure will expand tremendously. For advanced AI chips manufactured locally, yield is systematically low or inferior, which amplifies testing demand through: 1) die-count inflation (requiring more dies to be produced); 2) testing time elongation (longer screening time and higher coverage targets); and 3) feedback-loop intensity (to optimize process parameters). Simply put, the net effect is a yield-deficiency premium that means an AI chip manufactured at low yield generates dramatically more CP testing revenue per good die shipped than an equivalent chip produced at mature yield levels.

Furthermore, due to manufacturing constraints, one viable path to competitive AI performance is chiplet architecture (e.g., splitting a large chip into multiple smaller dies and integrating them via 2.5D advanced packaging). The increasing adoption of chiplets means that each shipped chiplet-based AI chip can generate a testing revenue multiple several times higher than its single chip equivalent, driven by more die-level CP testing, KGD validation, post-integration testing, and so on.

Beyond volume and complexity multipliers, AI chip testing commands structurally higher ASPs (or budget) and margins than consumer SoC testing, largely driven by pricing power created by equipment exclusivity (both scarcity and higher hourly rates) and premium earned by engineering intensity (highly customized architecture). Therefore, we expect V-Test's compute chip revenue share to continuously rise to >35% by 2028E (from c.20% at end-2025), indicating a ~90% sales CAGR during 2026-28E (vs 59% for total sales).

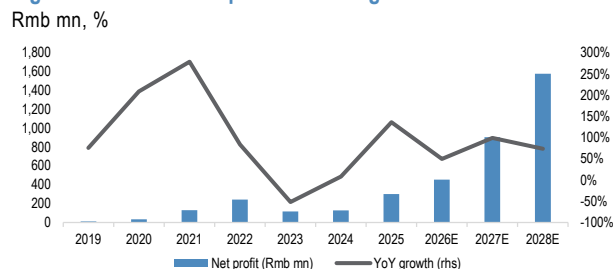
Meanwhile, we believe its earnings power and quality are also undergoing a structural upgrade, and we model a 73% earnings CAGR over the same period.

Figure 51: V-Test's gross margin trend by segment



Source: V-Test (Prospectus and historical annual reports, 2019-2025), J.P. Morgan estimates.

Figure 52: V-Test's net profit and YoY growth



Source: V-Test (Prospectus and historical annual reports, 2019-2025), J.P. Morgan estimates.

One-stop solution: burn-in + SLT ensure customer stickiness

V-Test's core differentiator is that it is not merely a testing factory but it provides a full-process one-stop turnkey service. Although SLT and burn-in are currently classified as mid-range business with lower gross margin, we expect the model generates extremely high customer stickiness to amplify scale effects, especially in the AI chip and automotive chip domains, which feature premium value and have higher requirements on reliability.

- **SLT:** After CP and FT, AI chips still require system-level validation in simulated real workload environment to ensure no functional anomalies or performance degradation.
- **Burn-in:** This yields a hard requirement for AI chips as well as automotive chips. For instance, AI GPUs with power consumption reaching 300-700W generate significant thermal stress and electro-migration risks during extended operation, requiring pre-shipment high-temperature/high-voltage burn-in screening to eliminate early failure chips.

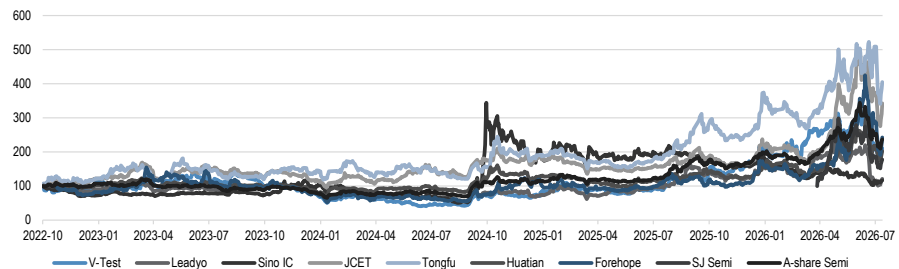
Share performance and valuation

V-Test currently trades at the lower band of its historical valuation range and at a significant discount to OSAT peers, reflecting insufficient acceptance of its AI-driven growth story and earnings potential, in our view. We initiate coverage of V-Test with an OW rating and a Jun-27 price target of Rmb220.00 (based on 30x one-year forward P/E), implying 75% potential upside.

AI-driven cycle to support valuation re-rating

Since its listing in Oct 2022, V-Test's share price performance has largely tracked the A-share Semiconductor Index (V-Test up 118% vs +145% for the index), while significantly outperforming domestic third-party testing peers thanks to its more rapidly expanding business scale. Compared with domestic OSAT peers, V-Test has rallied 15% YTD on the back of improving utilization, yet still trails the OSAT average of 89% growth YTD, largely reflecting the latter's greater pricing flexibility.

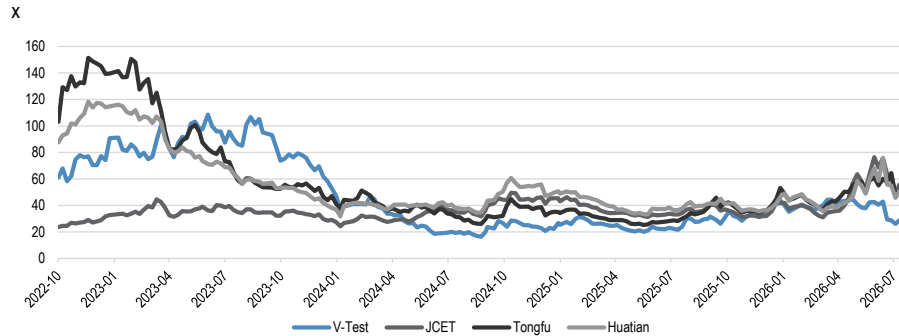
Figure 53: Share price performance comparison – A-share peers



Source: Wind (6 Aug 2026), J.P. Morgan.

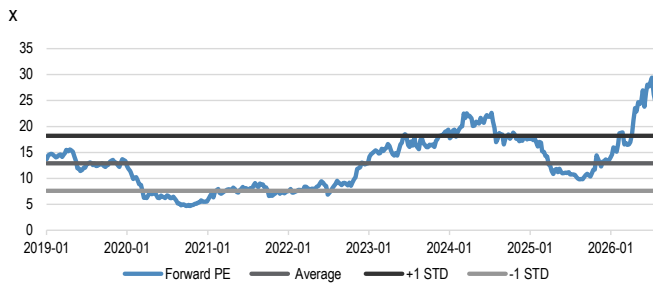
Due to the semi industry cyclical downturn, V-Test and OSAT names underwent a valuation de-rating, from 2H23. A valuation repair began in late 2025; OSAT peers now are trading at roughly one standard deviation above their historical mean, largely supported by pricing elasticity and growing market recognition of their AI chip exposure. V-Test, by contrast, remains at the lower band of its historical valuation range, constrained by limited price hikes and insufficient market acceptance of its AI-driven growth narrative. Meanwhile, the structural tailwind of AI demand has propelled Taiwanese peers to record valuation levels, underpinned by rapid earnings growth.

Figure 54: Historical forward P/E trend – A-share peers



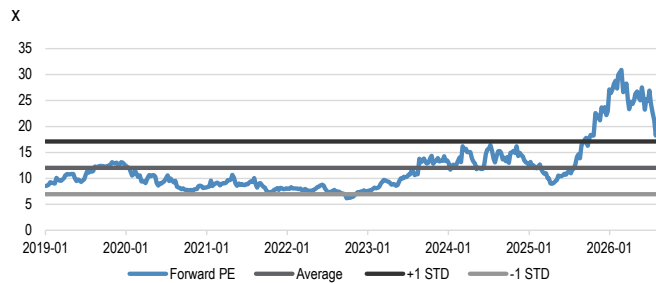
Source: Wind (6 Aug 2026), J.P. Morgan estimates.

Figure 55: ASE's historical forward P/E band



Source: Bloomberg Finance L.P., Wind (6 Aug 2026), J.P. Morgan.

Figure 56: KYEC's historical forward P/E band



Source: Bloomberg Finance L.P., Wind (6 Aug 2026), J.P. Morgan.

Initiate with OW rating and Jun-27 PT of Rmb220

We derive our Jun-27 target price of Rmb220.00 using a P/E-based approach, applying a 30x one-year forward multiple. The price target implies 75% potential upside from the current share price. Our target multiple benchmarks the company's three-year historical average and sits 30% below the trading average of key A-share OSAT peers, reflecting a discount for its relatively limited pricing flexibility in the near term.

The stock is currently trading at around 29x one-year forward P/E, representing a 40% discount to the OSAT peer average of 50x one-year forward P/E. We view the current valuation as highly attractive, supported by three key catalysts: 1) multiple expansion driven by increasing AI exposure; 2) an improving ASP trend underpinned by a more favorable product mix; and 3) a more desirable profitability profile relative to OSAT names.

Figure 57: V-Test's historical trading band – one-year forward P/E



Source: V-Test (Historical annual reports, 2022-2025), Wind (6 Aug 2026), J.P. Morgan estimates.

Figure 58: V-Test's historical trading band – one-year forward PB/ROE



Source: V-Test (Historical annual reports, 2022-2025), Wind (6 Aug 2026), J.P. Morgan estimates.

Table 3: China packaging and testing peer valuation comparison

Ticker	Company	Rating	Market cap (Rmb mn)	YTD perf.	P/E (x)			P/B (x)			ROE			2026-28E Earnings CAGR
					2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	
688372.SH	V-TEST	OW	20,518	12%	44.8	22.4	12.9	4.6	4.0	3.2	12%	19%	27%	73%
600584.SH	JCET	OW	135,763	107%	60.2	37.2	27.7	4.5	4.1	3.7	8%	11%	14%	46%
688820.SH	*SJSEMI	NC	253,822	78%	220.2	136.8	99.6	12.5	11.5	10.4	6%	8%	10%	40%
002156.SZ	*TFME	NC	92,513	62%	58.5	46.3	40.9	5.5	5.0	4.5	9%	10%	11%	23%
002185.SZ	*HUA TIAN	NC	57,362	58%	57.9	46.6	37.7	3.1	2.9	2.7	6%	6%	7%	29%
688362.SH	*FHEC	NC	29,727	102%	143.2	92.9	63.9	10.4	9.1	7.8	7%	10%	13%	79%
Average					97.4	63.7	47.1	6.8	6.1	5.4	8%	11%	14%	48%

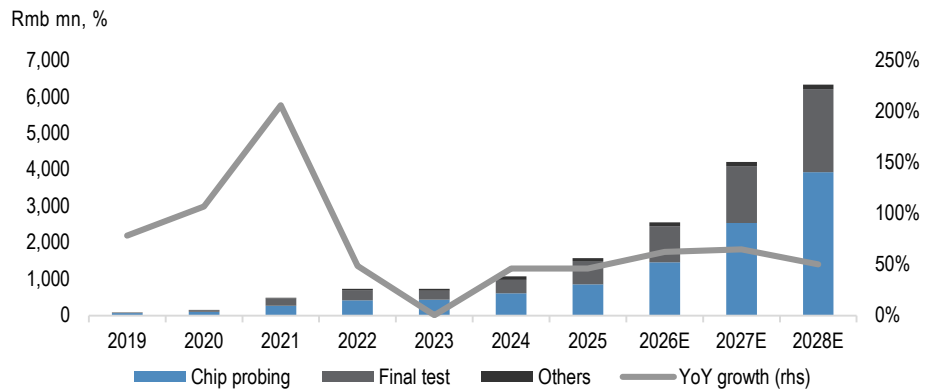
Source: Wind, J.P. Morgan estimates. Note: Prices as of market close on 6 Aug 2026. * Wind consensus for Not Covered (NC) stocks.

Financials

Income statement

V-Test achieved a 58% revenue CAGR during 2021-2025, driven by accelerating localization, successful customer design-wins and expanding capacity. We forecast 2026/27/28E top line to grow by 63%/65%/50% YoY, respectively, supported by domestic AI chip volume ramp, local foundry capacity expansion, as well as continued market share gains.

Figure 59: V-Test's revenue breakdown by segment

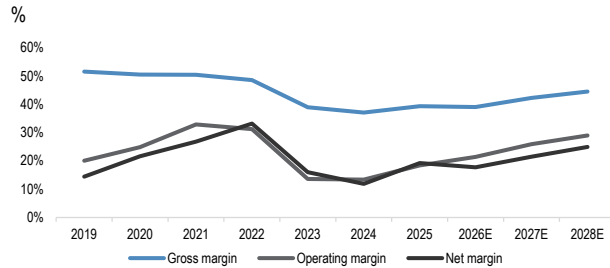


Source: V-Test (Prospectus and historical annual reports, 2019-2025), J.P. Morgan estimates.

V-Test's gross margin expanded in 2025 to 39.4% (from recent trough of 37.1% in 2024), mainly driven by improving utilization. Looking ahead, we expect consolidated gross margin to expand gradually to 44.6% by 2028, supported by: 1) favorable product mix shift toward higher-margin AI chip testing; 2) better operating leverage from utilization improvement; and 3) economies of scale in tester depreciation.

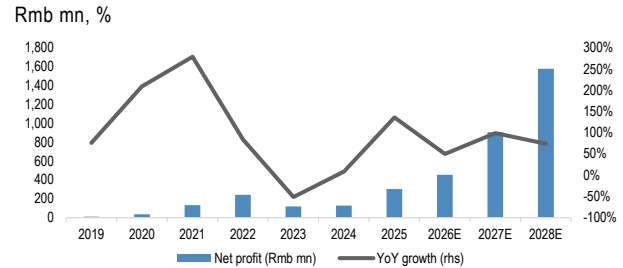
R&D investment remained elevated at 10%+ of revenue, reflecting the company's focus on developing testing solutions for advanced nodes and AI chips. We expect R&D spending to grow in absolute terms but moderate as a percentage of revenue as revenue scales. Overall, we forecast 50%/99%/74% net earnings growth for 2026/27/28E, representing a 73% CAGR over 2026-28E.

Figure 60: V-Test's margin trend



Source: V-Test (Prospectus and historical annual reports, 2019-2025), J.P. Morgan estimates.

Figure 61: V-Test's net profit and YoY growth



Source: V-Test (Prospectus and historical annual reports, 2019-2025), J.P. Morgan estimates.

Table 4: P&L forecast

(Rmb mn)	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E
Year-end Dec										
Sales	77.9	161.2	493.1	733.0	736.5	1,076.9	1,574.7	2,558.8	4,217.0	6,332.1
Cost of goods sold	(37.7)	(79.7)	(244.3)	(377.0)	(449.6)	(677.2)	(954.7)	(1,558.7)	(2,434.4)	(3,510.8)
Gross profit	40.2	81.5	248.8	356.1	287.0	399.6	619.9	1,000.1	1,782.6	2,821.2
Business Tax	(0.1)	(0.3)	(0.8)	(1.1)	(1.6)	(3.2)	(5.9)	(10.5)	(17.4)	(27.8)
SG&A expenses	(24.5)	(41.2)	(85.9)	(125.8)	(185.0)	(252.6)	(324.5)	(442.4)	(672.8)	(955.8)
Operating profit (EBIT)	15.6	40.1	162.2	229.2	100.4	143.9	289.6	547.2	1,092.5	1,837.7
EBITDA	30.9	72.2	222.6	335.2	305.0	455.6	736.0	1,257.6	2,132.3	3,294.5
Interest income	0.0	0.1	2.0	4.7	4.6	2.2	2.4	1.8	9.0	4.2
Interest (expense)	(6.2)	(7.8)	(18.8)	(33.4)	(33.1)	(37.9)	(64.3)	(100.4)	(149.7)	(142.5)
Other finance (expense) income	0.2	0.9	1.6	(5.3)	(8.8)	0.0	(0.6)	0.1	0.2	0.2
Investment income (loss)	(0.0)	0.0	0.4	1.8	16.0	3.9	38.9	1.6	0.9	0.8
Non-operating income (loss)	2.4	4.7	5.0	47.8	16.6	24.1	52.6	51.8	54.3	54.7
Earnings before tax	12.1	38.0	152.4	244.8	95.7	136.2	318.5	502.1	1,007.2	1,755.0
Income tax	(0.8)	(3.1)	(20.2)	(1.4)	22.3	(8.0)	(15.4)	(47.5)	(100.7)	(175.5)
Minority interest & extra ordinaries	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net profit	11.3	34.9	132.2	243.3	118.0	128.3	303.2	454.6	906.5	1,579.5
Net profit (adjusted)	11.3	34.9	132.2	243.3	118.0	128.3	303.2	454.6	906.5	1,579.5

Source: V-Test (Prospectus and historical annual reports, 2019-2025), J.P. Morgan estimates.

Our 2027/28E revenue are 41%/61% above consensus, while our earnings forecasts stand 54%/93% higher, respectively. Despite broad-based AI enthusiasm, we hold greater conviction in V-Test's distinctive positioning within the indigenous AI supply chain. The company is poised to capture tremendous opportunities arising from the structural shortage of advanced CP capacity and amplification of testing demand from adopting multi-die package. Collectively, these factors should drive a meaningful upgrade in both V-Test's business mix and earnings quality.

Table 5: Earnings forecast and consensus comparison

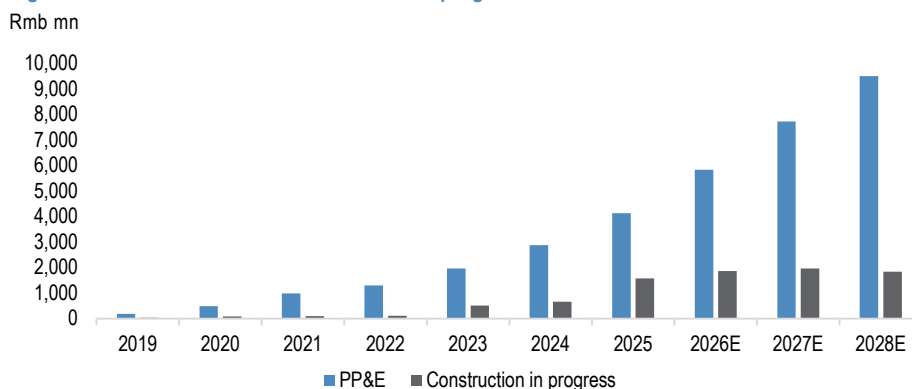
(Rmb mn)	JPMe				Consensus			Difference		
	2025A	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Revenue	1,575	2,559	4,217	6,332	2,204	2,981	3,933	16%	41%	61%
<i>Growth</i>	46%	63%	65%	50%	40%	35%	32%			
Net profit	303	455	906	1,580	423	587	818	7%	54%	93%
<i>NPM %</i>	19.3%	17.8%	21.5%	24.9%	19.2%	19.7%	20.8%			

Source: V-Test (2025 annual report), J.P. Morgan estimates, Wind (27 Jul 2026).

Balance sheet

V-Test has been aggressively expanding capacity to gain orders and win new customers (even amid industry downturn). Total assets reached Rmb7.7bn as of end-2025 (from Rmb4.9bn at end-2024), driven by heavy Capex in testing equipment and facility construction. To capture high-end chip testing opportunity and further cement its leadership, we expect V-Test to continuously invest into equipment procurement and business expansion across key semiconductor hubs.

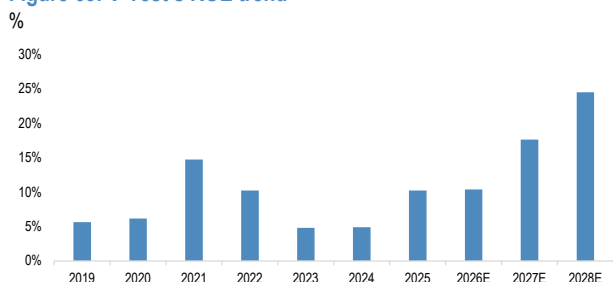
Figure 62: V-Test's PP&E and construction-in-progress trend



Source: V-Test (Prospectus and historical annual reports, 2019-2025), J.P. Morgan estimates.

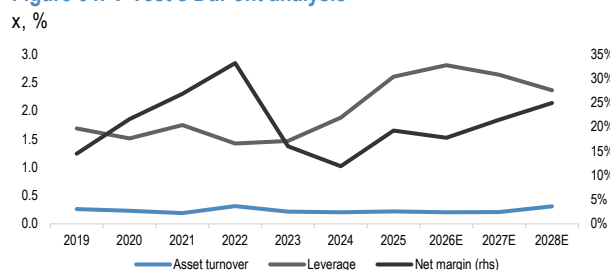
The asset-liability ratio increased to 62% at end-2025 from 47% at end-2024, reflecting the company's aggressive debt-funded capacity expansion. The convertible bond issuance (Rmb1.2bn) in April 2025 further increased leverage, which called redemption in March 2026. We note that the high leverage is appropriate given the company's capital-intensive nature and strong revenue/earnings visibility. Looking ahead, we expect the debt ratio to stabilize as revenue/earnings growth accelerates.

Figure 63: V-Test's ROE trend



Source: V-Test (Prospectus and historical annual reports, 2019-2025), J.P. Morgan estimates.

Figure 64: V-Test's DuPont analysis



Source: V-Test (Prospectus and historical annual reports, 2019-2025), J.P. Morgan estimates.

Table 6: Balance sheet forecast

(Rmb mn)	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E
Year-end Dec										
Cash and cash equivalents	23.5	93.4	149.7	648.0	252.0	414.0	282.8	2,342.4	1,042.9	738.3
Accounts receivable	31.4	64.3	130.7	231.1	308.3	353.3	527.5	857.7	1,210.6	1,511.9
Inventories	1.5	3.6	6.3	5.2	4.7	10.5	18.7	18.4	27.2	40.1
Other current assets	29.1	92.1	106.5	762.8	289.9	262.7	660.0	828.3	1,005.0	939.2
Total current assets	85.5	253.4	393.2	1,647.1	854.9	1,040.6	1,489.0	4,046.7	3,285.7	3,229.5
LT investments	0.0	0.0	0.0	50.0	85.0	85.0	83.7	83.3	83.3	83.3
Net PPE	197.3	486.7	987.6	1,306.4	1,964.1	2,887.4	4,128.8	5,833.2	7,719.2	9,501.5
Construction in progress	42.6	95.8	109.6	119.4	514.1	669.8	1,585.1	1,873.1	1,962.7	1,837.4
Other non-current assets	11.8	20.2	79.0	262.5	190.0	236.2	439.9	442.0	520.4	605.8
Total assets	337.1	856.1	1,569.4	3,385.3	3,608.1	4,919.0	7,726.5	12,278.3	13,571.2	15,257.6
Short-term debts	59.9	98.8	263.5	271.8	251.7	360.0	778.2	1,307.7	1,107.7	1,107.7
Accounts payable	18.2	91.5	88.7	93.3	194.6	351.7	610.9	1,064.8	1,712.1	2,487.2
Accrued expenses & other CL	6.5	15.2	43.1	46.1	76.7	74.3	98.1	143.2	218.7	322.4
Total current liabilities	84.5	205.5	395.3	411.2	523.0	786.0	1,487.2	2,515.7	3,038.5	3,917.3
Long term liabilities	52.7	83.6	275.1	594.6	626.4	1,513.9	3,271.9	5,385.3	5,385.3	4,885.3
Total liabilities	137.2	289.1	670.4	1,005.9	1,149.4	2,299.9	4,759.1	7,901.0	8,423.8	8,802.6
Share capital	35.9	61.3	65.4	87.2	113.4	113.8	149.1	167.6	167.6	167.6
Reserves	148.9	479.6	684.6	1,911.0	1,924.3	1,992.9	2,032.1	3,171.1	3,171.1	3,171.1
Retained earnings	15.1	26.1	149.0	381.2	421.0	512.4	767.2	1,038.4	1,808.5	3,116.0
Minority interest & adjustments	0.0	0.0	0.0	0.0	0.0	0.0	19.1	0.3	0.3	0.3
Shareholders' equity	199.9	567.0	899.0	2,379.5	2,458.7	2,619.1	2,967.4	4,377.3	5,147.4	6,455.0

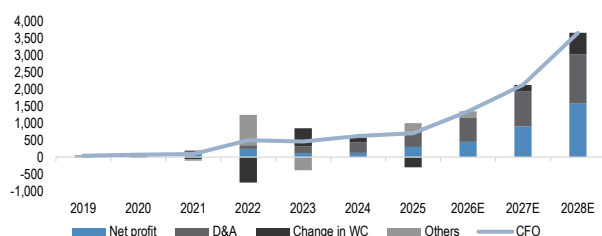
Source: V-Test (Prospectus and historical annual reports, 2019-2025), J.P. Morgan estimates.

Cash flow

V-Test generated Rmb0.7bn in operating cash flow in 2025 (45% of revenue), demonstrating strong cash conversion. However, heavy Capex of Rmb2.9bn resulted in negative free cash flow. We expect this dynamic to continue through 2027 as Wuxi new phase, Chengdu and new Shanghai headquarters ramp up, with FCF turning positive into 2028E.

Figure 65: V-Test's operating cash flow trend

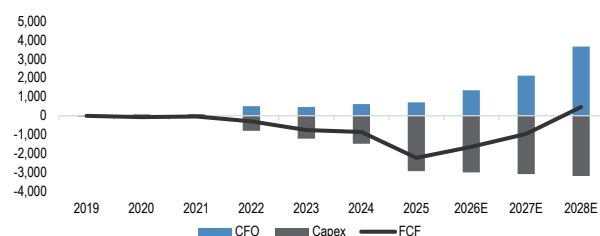
Rmb mn



Source: V-Test (Prospectus and historical annual reports, 2019-2025), J.P. Morgan estimates.

Figure 66: V-Test's free cash flow trend

Rmb mn



Source: V-Test (Prospectus and historical annual reports, 2019-2025), J.P. Morgan estimates.

Table 7: Cash flow forecast

(Rmb mn)	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E
Year-end Dec										
Net Income	11.3	34.9	132.2	243.3	118.0	128.3	303.2	454.6	906.5	1,579.5
D&A and Other non-cash items	15.3	32.1	60.4	861.9	221.9	310.0	408.3	710.4	1,039.8	1,456.9
Change in receivables	(14.3)	(34.0)	(68.6)	(97.3)	(78.3)	(43.6)	(174.3)	(332.3)	(353.0)	(301.3)
Change in inventory	(0.6)	(2.1)	(2.7)	1.2	0.5	(5.8)	(8.2)	0.4	(8.8)	(12.9)
Change in payables	11.4	73.4	(2.9)	4.6	133.3	142.9	241.4	473.2	661.1	791.4
Other adjustments	16.1	(28.8)	(28.5)	(513.9)	67.2	90.1	(64.2)	44.5	(115.0)	153.2
Cash flow from operations	39.0	75.5	90.0	499.7	462.6	621.8	706.1	1,350.7	2,130.6	3,666.8
Capex	(47.4)	(145.2)	(128.7)	(802.4)	(1,221.6)	(1,482.8)	(2,946.0)	(3,007.1)	(3,093.6)	(3,199.5)
Purchase (sale) of investments	0.1	(29.5)	(60.0)	(666.2)	536.3	61.3	42.6	41.3	(0.1)	0.1
Other adjustments	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Cash flow from investing	(47.3)	(174.7)	(188.7)	(1,468.7)	(685.2)	(1,421.4)	(2,903.4)	(2,965.8)	(3,093.7)	(3,199.5)
Free cash flow	(8.4)	(69.7)	(38.7)	(302.7)	(759.0)	(861.0)	(2,239.9)	(1,656.3)	(963.1)	467.3
Equity raised (buyback)	105.5	355.0	200.0	1,237.2	35.0	68.5	83.9	1,138.7	0.0	0.0
Debt raised (repaid)	41.6	71.0	252.2	352.8	(47.1)	980.3	2,200.1	2,634.7	(200.0)	(500.0)
Dividends paid	(0.5)	(1.7)	(8.8)	(21.6)	(47.0)	(120.3)	(84.6)	(91.0)	(136.4)	(271.9)
Other adjustments	(115.8)	(255.1)	(395.6)	(95.3)	(113.5)	(17.9)	(80.5)	(262.5)	0.0	(0.0)
Cash flow from financing	30.8	169.2	47.8	1,473.1	(172.6)	910.6	2,118.8	3,419.9	(336.4)	(771.9)
FX translation & others	0.0	0.0	91.9	(5.9)	(0.7)	51.1	(52.7)	254.7	0.0	0.0
Net change in cash	22.6	70.0	41.1	498.3	(396.0)	162.1	(131.2)	2,059.5	(1,299.5)	(304.6)
Beginning cash	0.9	23.5	108.6	149.7	648.0	252.0	414.0	282.8	2,342.4	1,042.9
Ending cash	23.5	93.4	149.7	648.0	252.0	414.0	282.8	2,342.4	1,042.9	738.3

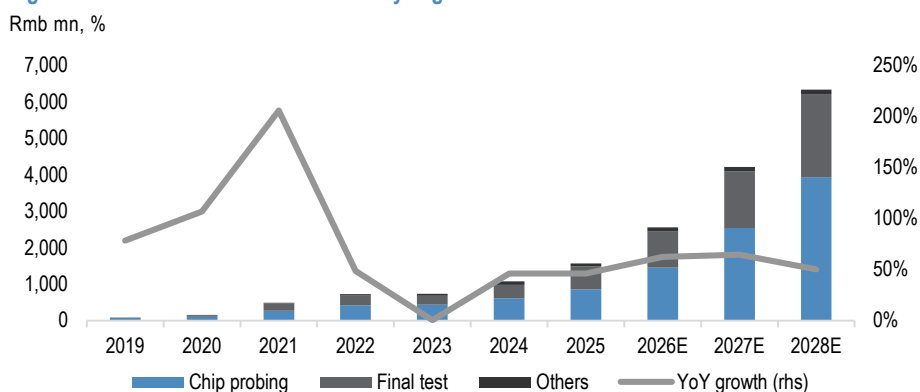
Source: V-Test (Prospectus and historical annual reports, 2019-2025), J.P. Morgan estimates.

Company overview

Company description

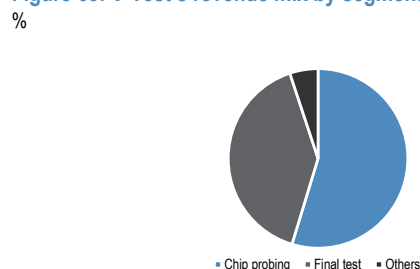
Shanghai V-Test Semiconductor Technology Co., Ltd. (V-Test) is China's leading independent third-party testing service provider. Founded in May 2016, the company listed on the Shanghai Stock Exchange STAR Market in October 2022. V-Test specializes in wafer testing (Chip Probing, CP), final test (FT), system-level test (SLT), burn-in, and value-added testing services, providing one-stop testing solutions for chip design houses, foundries and OSATs.

Figure 67: V-Test's revenue breakdown by segment



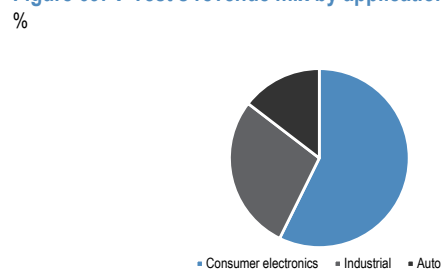
Source: V-Test (Prospectus and historical annual reports, 2019-2025), J.P. Morgan estimates.

Figure 68: V-Test's revenue mix by segment (2025)



Source: V-Test (2025 annual report).

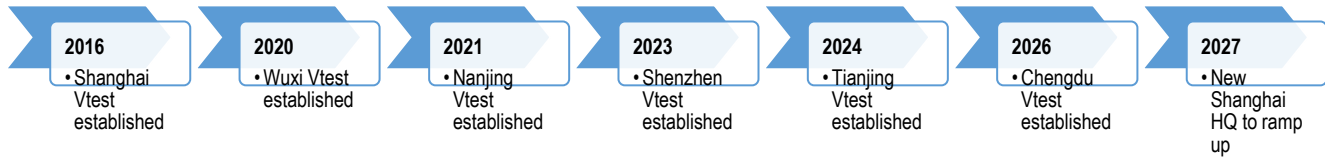
Figure 69: V-Test's revenue mix by application (2025)



Source: V-Test (2025 annual report).

The company operates several wholly owned subsidiaries across China's key semiconductor clusters (Wuxi, Nanjing, Shenzhen, Tianjin, and Chengdu), positioning itself as the largest independent third-party testing platform in mainland China by tester fleet size.

Figure 70: Key milestones of V-Test's footprint expansion



Source: Company website (27 Jul 2026), J.P. Morgan.

V-Test's primary suppliers are test equipment vendors, and major high-end testing platforms include Advantest V93000 (high-end SoC, AI chips), Teradyne UltraFLEXplus, Teradyne J750HD (mid-to-high-end digital, automotive), and Chroma 3380P (mixed-signal, CMOS image sensor). Also, probe cards and test sockets are sourced from domestic and international suppliers.

V-Test has accumulated a customer base of more than 200+, covering chip design, manufacturing, packaging, and IDM, including companies such as Unisoc, Amlogic, SMIC and Forehope, among others.

Management profile

The core management team has over 20 years of experience in semiconductor testing and packaging. All key executives previously worked at leading OSAT companies (e.g., ASE, JCET) or equipment vendors, providing deep technical credibility and customer relationships.

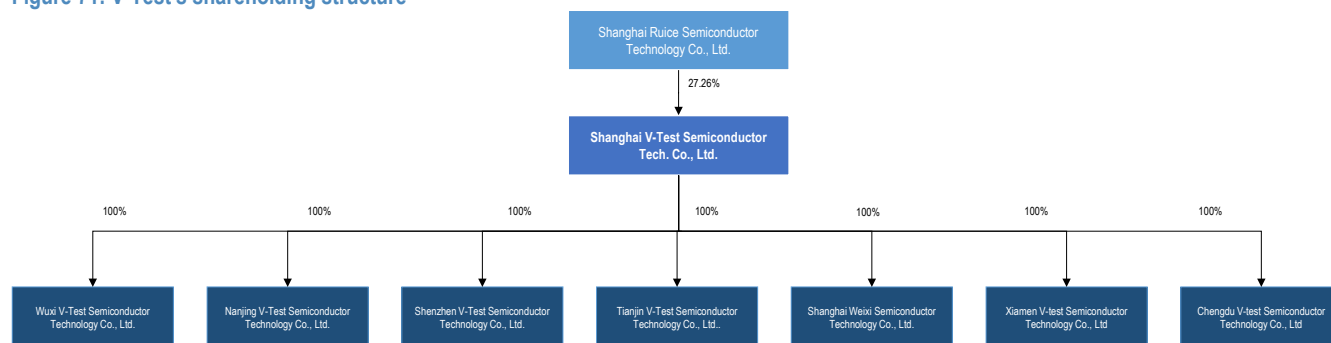
Table 8: Brief biography of key management

Name	Position	Experience
Wensheng Pian	Chairman, General Manager	1993 - 2000 Equipment Manager, Motorola (China) 2000 - 2004 Global Advanced Packaging Technology 2004 - 2009 Director of Supply Chain, ASE (Shanghai) 2009 - 2016 Business Center GM, Overseas Sales VP, JCET Group
Guotao Wen	Deputy GM, Director	2001 - 2004 Equipment Engineer, Global Advanced Packaging Technology 2004 - 2016 Plant Manager, ASE (Shanghai)
Feng Lu	Deputy GM, Director	1993 - 2000 Automation Manager, Motorola (China) 2000 - 2004 Global Advanced Packaging Technology 2004 - 2006 IT Manager, ASE (Shanghai) 2006 - 2018 IT Manager, SanDisk Semiconductor (Shanghai)
Pei Wang	Deputy GM, Board Secretary, CFO	2007 - 2011 Financing Director, Shanghai Lingcan Investment 2011 - 2020 Security Department, Universal Scientific Industrial (USI)
Kun Liu	Deputy GM	1997 - 2001 Product Engineer, Motorola (China) 2001 - 2004 Director of Product Engineering, Global Advanced Packaging Technology 2004 - 2005 Engineering Manager, Intel (Shanghai) 2005 - 2009 Application Engineering Manager, Teradyne (Shanghai) 2009 - 2015 Deputy GM, Beijing Handi Longke Technology 2015 - 2020 General Manager of Shanghai Minai Semiconductor

Source: V-Test (2025 annual report).

Shareholding structure

Figure 71: V-Test's shareholding structure



Source: V-Test (2025 annual report), Wind (23 Jul 2026), J.P. Morgan.

Table 9: V-Test's top shareholders

Shareholders		Holding
Shanghai Ruice Semiconductor Technology Co., Ltd.	Controlling shareholder	27.3%
Hong Kong Securities Clearing Company Limited	SH/HK Stock Connect	3.9%
Maxwealth Digital Economy Smart Selection Hybrid Initiated Fund		1.6%
E Fund Supply-side Reform Flexible Allocation Hybrid Fund		1.4%
Jiangsu Jiequan Yuanhe Puhua Equity Investment Partnership (LP)		1.3%
Ningbo Xinwei Investment Partnership (LP)	ESOP	1.0%
Abu Dhabi Investment Authority		1.0%
Maxwealth Semiconductor Industry Smart Selection Hybrid Initiated Fund		1.0%
Goldman Sachs International		0.9%
Debon Semiconductor Industry Hybrid Initiated Fund		0.9%
Subtotal		40.1%

Source: Wind (23 Jul 2026).

Investment Thesis, Valuation and Risks

Shanghai V-Test Semiconductor Tech. Co., Ltd. - A (Overweight; Price Target: Rmb220.00)

Investment Thesis

V-Test is China's leading third-party chip testing vendor. It is uniquely positioned to capture the AI-driven inflection in domestic testing demand, thanks to its counter-cyclical capacity expansion skewed to high-end testers and superior customer portfolio. We currently model 59% sales and 73% earnings CAGRs over 2026-28E. We are Overweight.

Valuation

Our Jun-27 price target of Rmb220.00 is based on a 30x one-year forward P/E, which is close to its 3-year historical average and at a discount to key A-share OSAT peers, to reflect its relatively limited pricing flexibility in the near term.

Risks to Rating and Price Target

Downside risks include:

- Tester procurement restrictions impeding capacity expansion.
- Export controls affecting repatriation of chip testing from foundries outside of mainland China.
- Intensifying industry competition with lower equipment barrier supported by domestic ATE suppliers.
- Weaker-than-expected non-AI demand.

V-Test - A: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY24A	FY25A	FY26E	FY27E	FY28E		1Q26A	2Q26E	3Q26E	4Q26E	
Revenue	1,077	1,575	2,559	4,217	6,332	Revenue	490	570	700	799	
COGS	(677)	(955)	(1,559)	(2,434)	(3,511)	COGS	(319)	(358)	(423)	(459)	
Gross profit	400	620	1,000	1,783	2,821	Gross profit	171	212	276	340	
SG&A	(107)	(129)	(177)	(266)	(367)	SG&A	(35)	(39)	(47)	(56)	
Adj. EBITDA	456	736	1,258	2,132	3,295	Adj. EBITDA	244	280	342	392	
D&A	(312)	(446)	(710)	(1,040)	(1,457)	D&A	(153)	(169)	(186)	(202)	
Adj. EBIT	144	290	547	1,092	1,838	Adj. EBIT	91	111	156	190	
Net Interest	(36)	(62)	(99)	(141)	(138)	Net Interest	(26)	(22)	(26)	(25)	
Adj. PBT	136	319	502	1,007	1,755	Adj. PBT	76	103	145	179	
Tax	(8)	(15)	(48)	(101)	(176)	Tax	(5)	(10)	(14)	(18)	
Minority Interest	0	0	0	0	0	Minority Interest	0	0	0	0	
Adj. Net Income	128	303	455	906	1,580	Adj. Net Income	71	92	130	161	
Reported EPS	1.13	2.03	2.71	5.41	9.43	Reported EPS	0.42	0.55	0.78	0.96	
Adj. EPS	1.13	2.03	2.71	5.41	9.43	Adj. EPS	0.42	0.55	0.78	0.96	
DPS	1.06	0.57	0.54	0.81	1.62	DPS	0.07	0.47	0.00	0.00	
Payout ratio	93.8%	27.9%	20.0%	15.0%	17.2%	Payout ratio	17.3%	85.2%	0.0%	0.0%	
Shares outstanding	114	149	168	168	168	Shares outstanding	168	168	168	168	
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	414	283	2,342	1,043	738	Gross margin	37.1%	39.4%	39.1%	42.3%	44.6%
Accounts receivable	353	527	858	1,211	1,512	EBITDA margin	42.3%	46.7%	49.1%	50.6%	52.0%
Inventories	11	19	18	27	40	EBIT margin	13.4%	18.4%	21.4%	25.9%	29.0%
Other current assets	263	660	828	1,005	939	Net profit margin	11.9%	19.3%	17.8%	21.5%	24.9%
Current assets	1,041	1,489	4,047	3,286	3,230	ROE	5.1%	10.9%	12.4%	19.0%	27.2%
PP&E	3,557	5,714	7,706	9,682	11,339	ROA	3.0%	4.8%	4.5%	7.0%	11.0%
LT investments	85	84	84	85	86	ROCE	3.6%	5.5%	6.8%	10.7%	16.8%
Other non current assets	236	440	441	519	603	SG&A/Sales	10.0%	8.2%	6.9%	6.3%	5.8%
Total assets	4,919	7,726	12,278	13,571	15,258	Net debt/equity	0.5	0.8	0.5	0.6	0.5
Short term borrowings	360	778	1,308	1,108	1,108	P/E (x)	111.4	61.7	46.3	23.2	13.3
Payables	352	611	1,065	1,712	2,487	P/BV (x)	5.5	6.3	4.8	4.1	3.3
Other short term liabilities	74	98	143	219	322	EV/EBITDA (x)	47.7	31.1	17.9	11.1	7.1
Current liabilities	786	1,487	2,516	3,038	3,917	Dividend Yield	0.8%	0.5%	0.4%	0.6%	1.3%
Long-term debt	1,356	1,975	3,201	3,201	2,701	Sales/Assets (x)	0.3	0.2	0.3	0.3	0.4
Other long term liabilities	158	1,297	2,185	2,185	2,185	Interest cover (x)	12.8	11.9	12.8	15.2	23.8
Total liabilities	2,300	4,759	7,901	8,424	8,803	Operating leverage	93.7%	219.1%	142.4%	153.8%	136.0%
Shareholders' equity	2,619	2,967	4,377	5,147	6,455	Revenue y/y Growth	46.2%	46.2%	62.5%	64.8%	50.2%
Minority interests	0	0	0	0	0	EBITDA y/y Growth	49.4%	61.6%	70.9%	69.6%	54.5%
Total liabilities & equity	4,919	7,726	12,278	13,571	15,258	Tax rate	5.8%	4.8%	9.5%	10.0%	10.0%
BVPS	23.01	19.91	26.12	30.72	38.52	Adj. Net Income y/y Growth	8.7%	136.4%	49.9%	99.4%	74.3%
y/y Growth	6.1%	(13.5%)	31.2%	17.6%	25.4%	EPS y/y Growth	8.3%	80.5%	33.4%	99.4%	74.3%
Net debt/(cash)	1,302	2,471	2,166	3,265	3,070	DPS y/y Growth	155.1%	(46.3%)	(4.4%)	49.9%	99.4%
Cash flow from operating activities	622	706	1,351	2,131	3,667						
o/w Depreciation & amortization	312	446	710	1,040	1,457						
o/w Changes in working capital	131	(297)	1	184	630						
Cash flow from investing activities	(1,421)	(2,903)	(2,966)	(3,094)	(3,199)						
o/w Capital expenditure	(1,483)	(2,946)	(3,007)	(3,094)	(3,200)						
as % of sales	137.7%	187.1%	117.5%	73.4%	50.5%						
Cash flow from financing activities	911	2,119	3,420	(336)	(772)						
o/w Dividends paid	(120)	(85)	(91)	(136)	(272)						
o/w Net debt issued/(repaid)	980	2,200	2,635	(200)	(500)						
Net change in cash	222	(159)	3,609	(2,599)	(609)						
Adj. Free cash flow to firm	(861)	(2,240)	(1,656)	(963)	467						
y/y Growth	13.4%	160.2%	(26.1%)	(41.9%)	(148.5%)						

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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V-Test - A (688372.SH, 688372 CH) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.

The chart(s) show J.P. Morgan's continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period.

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